JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

CONSOLIDATED FINANCIAL STATEMENTS AND

INDEPENDENT AUDITORS' REPORT

DECEMBER 31, 2024 AND 2023

For the convenience of readers and for information purpose only, the auditors' report and the accompanying financial statements have been translated into English from the original Chinese version prepared and used in the Republic of China. In the event of any discrepancy between the English version and the original Chinese version or any differences in the interpretation of the two versions, the Chinese-language auditors' report and financial statements shall prevail.

INDEPENDENT AUDITORS' REPORT

To the Board of Directors and Shareholders of JOCHU TECHNOLOGY CO., LTD.

Opinion

We have audited the accompanying consolidated balance sheets of JOCHU TECHNOLOGY CO., LTD. and subsidiaries (the "Group") as at December 31, 2024 and 2023, and the related consolidated statements of comprehensive income, of changes in equity and of cash flows for the years then ended, and notes to the consolidated financial statements, including a summary of material accounting policies.

In our opinion, based on our audits and the reports of other auditors (please refer to the Other matter section), the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2024 and 2023, and its consolidated financial performance and its consolidated cash flows for the years then ended in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission.

Basis for opinion

We conducted our audits in accordance with the Regulations Governing Financial Statement Audit and Attestation Engagements of Certified Public Accountants and Standards on Auditing of the Republic of China. Our responsibilities under those standards are further described in the *Auditors' responsibilities for the audit of the consolidated financial statements* section of our report. We are independent of the Group in accordance with the Norm of Professional Ethics for Certified Public Accountant of the Republic of China, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Group's 2024 consolidated financial statements. These matters were addressed in the context of our audit of the consolidated financial statements as a whole and, in forming our opinion thereon, we do not provide a separate opinion on these matters.

Key audit matters for the Group's 2024 consolidated financial statements are stated as follows:

Key audit matter – Existence of sales to specific customers

Description

There is a significant audit risk associated with revenue recognition in accordance with the auditing standards. The Group's sales revenue is concentrated mainly in its top ten customers. As sales revenue from top ten customers is material to the consolidated financial statements for the year ended December 31, 2024, we considered the existence of sales revenue from top ten customers as the key audit matter.

How our audit addressed the matter

We performed the following audit procedures on the above key audit matter:

1. Inspecting whether approved additions to the merchandise master file data had been correctly entered in the merchandise master file which include basic information of customers, such as name of representative, location of company, amount of capital and scope of business for evaluating the creditworthiness of buyers.
2. Understanding, evaluating and validating management's controls in respect of the Group's sales transactions with top ten customers from customer order's approval, goods delivery, sales recording, reconciliation of cash receipts and customer's records to subsequent settlement of trade receivables. In addition, testing the effectiveness of internal control environment over revenue recognition.
3. We obtained details of sales revenue from top ten customers for the year ended December 31, 2024, sampled the related transactions against the original orders, delivery notes, invoices and other related documents and verified the amount to ensure the existence of revenue.
4. We obtained details of sales returns and discounts from top ten customers after the balance sheet date, and sampled the sales returns and discounts against related documents and examined the reasonableness of the reasons for returns and discounts.

***Key audit matter* – Impairment assessment of goodwill**

Description

Refer to Notes 4(19) for accounting policy on goodwill impairment, Notes 6(11) for details of goodwill, and Note 5(2) for uncertainty of accounting estimates and assumptions in relation to goodwill.

Goodwill arising from the merger of the Group with eBio International Co., Ltd is material to the financial statements and the projected future cash flows of the expected recoverable amount under the valuation model adopted in the impairment assessment of goodwill was estimated based on management's subjective judgement and expectation on the future operations. Thus, we consider the assessment of goodwill impairment a key audit matter.

How our audit addressed the matter

We performed the following audit procedures relative to the above key audit matter:

1. Assessed whether the valuation models adopted by the Group are reasonable for the industry, environment and the valued assets of the Group;
2. Confirmed whether the expected future cash flows adopted in the valuation model are in agreement with the budget provided by the cash-generating units;
3. Compared the recoverable value and book value of each cash-generating unit in order to assess the reasonableness of the book value.

Other matter – Reference to the audit of other auditors

We did not audit the financial statements of certain subsidiaries which were audited by other auditors, as at and for the year ended December 31, 2024 and 2023. Therefore, our opinion expressed herein, insofar as it relates to the amounts included in respect of these subsidiaries, is based solely on the reports of the other auditors. Total assets of these subsidiaries amounted to NT$10,413 thousand and NT$23,234 thousand, constituting 0.24% and 0.53% of the consolidated total assets as at December 31, 2024 and 2023, respectively, and the operating revenue was NT$3,219 thousand and NT$2,463 thousand, constituting 0.10% and 0.08% of the consolidated total operating revenue for the year then ended, respectively.

Other matter – Parent company only financial report

We have audited and expressed an unqualified opinion on the parent company only financial statements of JOCHU TECHNOLOGY CO., LTD., with the other matter paragraph, as at and for the years ended December 31, 2024 and 2023.

Responsibilities of management and those charged with governance for the consolidated financial statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with the Regulations Governing the Preparation of Financial Reports by Securities Issuers and the International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the Financial Supervisory Commission, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance, including the audit committee, are responsible for overseeing the Group's financial reporting process.

Auditors' responsibilities for the audit of the consolidated financial statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditors' report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with the Standards on Auditing of the Republic of China will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with the Standards on Auditing of the Republic of China, we exercise professional judgment and professional skepticism throughout the audit. We also:

1. Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
2. Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
3. Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
4. Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditors' report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditors' report. However, future events or conditions may cause the Group to cease to continue as a going concern.
5. Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
6. Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the group audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditors' report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Liao, Fu-Ming　　Lin, Yung-Chih

For and on Behalf of PricewaterhouseCoopers, Taiwan

February 25, 2025

The accompanying consolidated financial statements are not intended to present the financial position and results of operations and cash flows in accordance with accounting principles generally accepted in countries and jurisdictions other than the Republic of China. The standards, procedures and practices in the Republic of China governing the audit of such financial statements may differ from those generally accepted in countries and jurisdictions other than the Republic of China. Accordingly, the accompanying consolidated financial statements and independent auditors' report are not intended for use by those who are not informed about the accounting principles or auditing standards generally accepted in the Republic of China, and their applications in practice.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

	Assets	Notes	December 31, 2024 AMOUNT	%	December 31, 2023 AMOUNT	%
	Current assets					
1100	Cash and cash equivalents	6(1)	$ 1,120,889	26	$ 1,223,585	28
1110	Financial assets at fair value through profit or loss - current	6(2)	-	-	7,870	-
1136	Financial assets at amortized cost - current	6(4) and 8	547	-	187,245	4
1150	Notes receivable, net	6(5)	22,726	1	31,977	1
1170	Accounts receivable, net	6(5)	1,124,521	26	1,131,766	26
1180	Accounts receivable - related parties, net	7	2,549	-	1,654	-
1197	Finance lease receivable, net		1,769	-	1,614	-
1200	Other receivables	6(6)	128,642	3	88,667	2
1220	Current income tax assets		1,490	-	10,892	-
130X	Inventories	6(7)	272,119	6	200,485	5
1410	Prepayments		20,786	1	23,894	-
1470	Other current assets		52,106	1	38,499	1
11XX	**Total current assets**		2,748,144	64	2,948,148	67
	Non-current assets					
1510	Financial assets at fair value through profit or loss - non-current	6(2)	30,477	1	25,103	1
1517	Financial assets at fair value through other comprehensive income - non-current	6(3)	8,778	-	3,070	-
1535	Financial assets at amortized cost - non-current	6(4) and 8	-	-	399	-
1600	Property, plant and equipment	6(9) and 8	1,242,723	29	1,101,577	25
1755	Right-of-use assets	6(10) and 7	117,496	3	131,615	3
1780	Intangible assets	6(11)	57,862	1	67,545	2
1840	Deferred income tax assets	6(28)	44,656	1	42,635	1
1975	Net defined benefit asset - non-current	6(16)	12,199	-	10,206	-
1990	Other non-current assets	8	30,001	1	54,039	1
15XX	**Total non-current assets**		1,544,192	36	1,436,189	33
1XXX	**Total assets**		$ 4,292,336	100	$ 4,384,337	100

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED BALANCE SHEETS
(In thousands of New Taiwan dollars)

	Liabilities and Equity	Notes	December 31, 2024 AMOUNT	%	December 31, 2023 AMOUNT	%
	Current liabilities					
2100	Short-term borrowings	6(12)	$ 45,000	1	$ 45,000	1
2120	Financial liabilities at fair value through profit or loss - current	6(2)	5,710	-	-	-
2130	Contract liabilities - current	6(21)	1,900	-	4,082	-
2170	Accounts payable	6(13)	604,299	14	485,963	11
2180	Accounts payable to related parties	7	-	-	1,061	-
2200	Other payables	6(14)	341,188	8	304,614	7
2220	Other payables to related parties	7	217	-	219	-
2230	Current income tax liabilities		10,373	-	9,423	-
2280	Lease liabilities - current	7	24,584	1	25,700	1
2320	Long-term borrowings - current	6(15)	50,000	1	57,633	1
2399	Other current liabilities		4,304	-	2,151	-
21XX	**Total current liabilities**		1,087,575	25	935,846	21
	Non-current liabilities					
2540	Long-term borrowings	6(15)	150,000	4	200,000	5
2570	Deferred income tax liabilities	6(28)	176,314	4	205,899	5
2580	Lease liabilities - non-current	7	16,574	-	29,297	1
2600	Other non-current liabilities		6,316	-	6,047	-
25XX	**Total non-current liabilities**		349,204	8	441,243	11
2XXX	**Total liabilities**		1,436,779	33	1,377,089	32
	Equity					
	Equity attributable to owners of the parent					
	Share capital	6(17)				
3110	Ordinary share		892,631	21	892,631	20
	Capital surplus	6(18)				
3200	Capital surplus		1,622,130	38	1,666,262	38
	Retained earnings	6(19)				
3310	Legal reserve		151,775	4	143,906	3
3320	Special reserve		369,917	9	362,837	8
3350	(Accumulated deficit) unappropriated retained earnings		(98,935)	(2)	59,289	1
	Other equity interest	6(20)				
3400	Other equity interest		(280,708)	(7)	(369,916)	(8)
3500	Treasury shares	6(17)	(25,619)	(1)	-	-
31XX	**Equity attributable to owners of the parent**		2,631,191	62	2,755,009	62
36XX	**Non-controlling interests**	4(3)	224,366	5	252,239	6
3XXX	**Total equity**		2,855,557	67	3,007,248	68
	Significant contingent liabilities and unrecognised contract commitments	9				
	Significant events after the balance sheet date	11				
3X2X	**Total liabilities and equity**		$ 4,292,336	100	$ 4,384,337	100

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In thousands of New Taiwan dollars, except for (loss) earnings per share amount)

			Year ended December 31			
			2024		2023	
	Items	Notes	AMOUNT	%	AMOUNT	%
4000	Operating revenue	6(21) and 7	$ 3,228,543	100	$ 3,252,303	100
5000	Operating costs	6(7)(26)	(2,784,749)	(86)	(2,679,851)	(82)
5900	Gross profit		443,794	14	572,452	18
	Operating expenses	6(26)(27) and 7				
6100	Selling and marketing expenses		(145,568)	(5)	(114,063)	(4)
6200	General and administrative expenses		(328,202)	(10)	(318,944)	(10)
6300	Research and development expenses		(71,205)	(2)	(58,525)	(2)
6450	Expected credit gain (loss)	12(2)	4,603	-	(5,130)	-
6000	Total operating expenses		(540,372)	(17)	(496,662)	(16)
6900	Net operating (loss) profit		(96,578)	(3)	75,790	2
	Non-operating income and expenses					
7100	Interest income	6(22)	23,712	1	29,648	1
7010	Other income	6(23)	18,224	-	14,488	-
7020	Other gains and losses	6(24)	(34,032)	(1)	(7,557)	-
7050	Finance costs	6(25) and 7	(6,901)	-	(10,090)	-
7060	Share of loss of associates accounted for under equity method	6(8)	-	-	(1,757)	-
7000	Total non-operating income and expenses		1,003	-	24,732	1
7900	**(Loss) profit before income tax**		(95,575)	(3)	100,522	3
7950	Income tax expense	6(28)	(42,876)	(1)	(48,140)	(1)
8200	**(Loss) profit for the year**		($ 138,451)	(4)	$ 52,382	2
	Other comprehensive income (loss)					
	Components of other comprehensive income (loss) that will not be reclassified to profit or loss					
8311	Gains on remeasurements of defined benefit plan	6(16)	$ 1,878	-	$ 69	-
8316	Unrealised losses from investments in equity instruments measured at fair value through other comprehensive income	6(3)	-	-	7,906	-
	Components of other comprehensive income (loss) that will be reclassified to profit or loss					
8361	Financial statements translation differences of foreign operations		98,765	3	(39,711)	(1)
8300	**Other comprehensive income (loss) for the year**		$ 100,643	3	($ 31,736)	(1)
8500	**Total comprehensive (loss) income for the year**		($ 37,808)	(1)	$ 20,646	1
	(Loss) profit attributable to:					
8610	Owners of the parent		($ 101,021)	(3)	$ 78,621	3
8620	Non-controlling interests		(37,430)	(1)	(26,239)	(1)
			($ 138,451)	(4)	$ 52,382	2
	Comprehensive income (loss) attributable to:					
8710	Owners of the parent		($ 9,935)	-	$ 51,316	2
8720	Non-controlling interests		(27,873)	(1)	(30,670)	(1)
			($ 37,808)	(1)	$ 20,646	1
	(Loss) earnings per share (in dollars)	6(29)				
9750	Basic (loss) earnings per share		($ 1.14)		$ 0.88	
9850	Diluted (loss) earnings per share		($ 1.14)		$ 0.88	

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In thousands of New Taiwan dollars)

		Equity attributable to owners of the parent										
				Retained Earnings			Other Equity Interest					
	Notes	Share capital ordinary share	Capital surplus	Legal reserve	Special reserve	(Accumulated deficit) unappropriated retained earnings	Financial statements translation differences of foreign operations	Unrealized losses from financial assets at fair value through other comprehensive income	Treasury shares	Total	Non-controlling interests	Total equity
Year ended December 31, 2023												
Balance at January 1, 2023		$ 892,631	$ 1,728,746	$ 143,906	$ 423,294	($ 32,785)	($ 334,636)	($ 28,200)	$ -	$ 2,792,956	$ 147,973	$ 2,940,929
Profit (loss) for the year		-	-	-	-	78,621	-	-	-	78,621	(26,239)	52,382
Other comprehensive income (loss) for the year		-	-	-	-	69	(35,280)	7,906	-	(27,305)	(4,431)	(31,736)
Total comprehensive income (loss) for the year		-	-	-	-	78,690	(35,280)	7,906	-	51,316	(30,670)	20,646
Appropriations of 2022 earnings:	6(19)											
Reversal of special reverse		-	-	-	(60,457)	60,457	-	-	-	-	-	-
Cash dividends		-	-	-	-	(26,779)	-	-	-	(26,779)	-	(26,779)
Distribution of cash from capital surplus	6(18)	-	(62,484)	-	-	-	-	-	-	(62,484)	-	(62,484)
Disposal of equity instrument at fair value through other comprehensive income	6(3)	-	-	-	-	(20,294)	-	20,294	-	-	-	-
Non-controlling interests	6(30)	-	-	-	-	-	-	-	-	-	134,936	134,936
Balance at December 31, 2023		$ 892,631	$ 1,666,262	$ 143,906	$ 362,837	$ 59,289	($ 369,916)	$ -	$ -	$ 2,755,009	$ 252,239	$ 3,007,248
Year ended December 31, 2024												
Balance at January 1, 2024		$ 892,631	$ 1,666,262	$ 143,906	$ 362,837	$ 59,289	($ 369,916)	$ -	$ -	$ 2,755,009	$ 252,239	$ 3,007,248
Loss for the year		-	-	-	-	(101,021)	-	-	-	(101,021)	(37,430)	(138,451)
Other comprehensive income (loss) for the year		-	-	-	-	1,878	89,208	-	-	91,086	9,557	100,643
Total comprehensive income (loss) for the year		-	-	-	-	(99,143)	89,208	-	-	(9,935)	(27,873)	(37,808)
Appropriations of 2023 earnings:	6(19)											
Legal reserve		-	-	7,869	-	(7,869)	-	-	-	-	-	-
Special reserve		-	-	-	7,080	(7,080)	-	-	-	-	-	-
Cash dividends		-	-	-	-	(44,132)	-	-	-	(44,132)	-	(44,132)
Distribution of cash from capital surplus	6(18)	-	(44,132)	-	-	-	-	-	-	(44,132)	-	(44,132)
Purchase of treasury shares	6(17)	-	-	-	-	-	-	-	(25,619)	(25,619)	-	(25,619)
Balance at December 31, 2024		$ 892,631	$ 1,622,130	$ 151,775	$ 369,917	($ 98,935)	($ 280,708)	$ -	($ 25,619)	$ 2,631,191	$ 224,366	$ 2,855,557

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan dollars)

	Notes	Year ended December 31 2024	2023
CASH FLOWS FROM OPERATING ACTIVITIES			
(Loss) profit before tax		($ 95,575)	$ 100,522
Adjustments			
Adjustments to reconcile profit (loss)			
Depreciation charges on property, plant, and equipment	6(9)(26)	145,100	140,868
Depreciation charges on right-of-use assets	6(10)(26)	29,719	30,838
Expected credit (gain) loss	12(2)	(4,603)	5,130
Amortization charges	6(26)	15,198	12,049
Interest income	6(22)	(23,712)	(29,648)
Dividend income		(1,174)	-
Gain on disposal of associates accounted for under equity method	6(8)(24)	-	(3,542)
Gain on disposal of property, plant, and equipment	6(24)	(2,890)	(8,674)
Gain on lease modification	6(10)(24)	(134)	(268)
Loss on financial assets at fair value through profit or loss	6(2)(24)	36,144	16,650
Impairment loss of property, plant, and equipment	6(9)(24)	7,328	-
Impairment loss on intangible assets	6(11)(24)	14,916	-
Interest expense	6(25)	6,901	10,090
Share of loss of associates accounted for under equity method	6(8)	-	1,757
Changes in operating assets and liabilities			
Changes in operating assets			
Notes receivable, net		10,793	(2,884)
Accounts receivable		54,166	(142,975)
Accounts receivable - related parties		(387)	(1,654)
Other receivables		(28,422)	12,693
Inventories		(65,704)	53,632
Prepayments		3,108	(12,098)
Other current assets		(29,913)	(14,720)
Net defined benefit asset - non-current		(115)	(138)
Changes in operating liabilities			
Contract liabilities - current		(2,182)	895
Accounts payable		99,709	10,587
Accounts payable to related parties		(866)	1,104
Other payables		20,920	36,383
Other payables to related parties		3	(51)
Other current liabilities		2,133	(1,219)
Other non-current liabilities		85	420
Cash inflow generated from operations		190,546	215,747
Interest received		23,146	36,316
Other dividend received		1,174	-
Interest paid		(5,885)	(8,996)
Income taxes paid		(69,123)	(176,786)
Refund income taxes paid		6,529	55,952
Net cash flows from operating activities		146,387	122,233

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JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS
(Expressed in thousands of New Taiwan dollars)

	Notes	Year ended December 31 2024	2023
CASH FLOWS FROM INVESTING ACTIVITIES			
Acquisition of financial assets at amortized cost		($ 271)	($ 191,267)
Proceeds from disposal of financial assets at amortized cost		193,525	54,824
Increase in financial assets at fair value through profit or loss		(27,808)	(40,237)
Acquisition of financial assets at fair value through other comprehensive income		(5,500)	-
Proceeds from disposal of financial assets at fair value through other comprehensive income		-	7,906
The acquisition of subsidiaries (net of cash acquired)		-	(31,771)
Acquisition of property, plant, and equipment	6(31)	(240,542)	(161,124)
Proceeds from disposal of property, plant, and equipment		9,844	11,173
Acquisition of intangible assets	6(11)	(7,639)	(100)
Increase in guarantee deposits paid		(861)	(582)
Increase in prepayments for equipment		(3,990)	(2,160)
Decrease in long-term finance lease receivable		1,804	1,735
Net cash flows used in investing activities		(81,438)	(351,603)
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds from short-term borrowings		435,000	500,000
Repayments of short-term borrowings		(435,000)	(510,000)
Repayments of long-term borrowings	6(32)	(57,633)	(223,925)
Increase in guarantee deposits received	6(32)	161	295
Payments of lease liabilities	6(32)	(27,148)	(35,234)
Purchase of treasury shares	6(17)	(25,619)	-
Distribution of cash from capital surplus	6(18)	(44,132)	(62,484)
Cash dividends paid	6(19)	(44,132)	(26,779)
Changes in non-controlling interests		-	112,436
Net cash flows used in financing activities		(198,503)	(245,691)
Effect of exchange rate changes on cash and cash equivalents		(30,858)	(13,272)
Net decrease in cash and cash equivalents		(102,696)	(488,333)
Cash and cash equivalents at beginning of year		1,223,585	1,711,918
Cash and cash equivalents at end of year		$ 1,120,889	$ 1,223,585

The accompanying notes are an integral part of these consolidated financial statements.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
NOTES TO THE CONSOLIDATED FINANCIAL STATEMENTS
FOR THE YEARS ENDED DECEMBER 31, 2024 AND 2023
(In thousands of New Taiwan dollars, except as otherwise indicated)

1. History and Organization

Jochu Technology Co., Ltd. (the "Company") was incorporated in June 2000 under the provisions of the Company Act of the Republic of China (R.O.C.). The Company and its subsidiaries (the "Group") are primarily engaged in manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices, and related international trading business. On April 17, 2006 and December 31, 2005, the Company merged with Yourui Precision Technology Co., Ltd. ("Yourui") and Jingrong Machinery Co., Ltd. ("Jingrong"), respectively. The Company was the surviving company, while Yourui and Jingrong were the merged companies. The Company has been listed on the Taiwan Stock Exchange since April 2020.

2. The Date of Authorization for Issuance of the Financial Statements and Procedures for Authorization

These consolidated financial statements were authorized for issuance by the Board of Directors on February 25, 2025.

3. Application of New Standards, Amendments and Interpretations

(1) Effect of the adoption of new issuances of or amendments to International Financial Reporting Standards ("IFRS") that came into effect as endorsed by the Financial Supervisory Commission ("FSC")

New standards, interpretations and amendments endorsed by the FSC and became effective from 2024 are as follows:

New Standards, Interpretations and Amendments	Effective date by International Accounting Standards Board
Amendments to IFRS 16, 'Lease liability in a sale and leaseback'	January 1, 2024
Amendments to IAS 1, 'Classification of liabilities as current or noncurrent'	January 1, 2024
Amendments to IAS 1, 'Non-current liabilities with covenants'	January 1, 2024
Amendments to IAS 7 and IFRS 7, 'Supplier finance arrangements	January 1, 2024

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(2) Effect of new issuances of or amendments to IFRSs as endorsed by the FSC but not yet adopted by the Group

New standards, interpretations and amendments endorsed by the FSC effective from 2025 are as follows:

New Standards, Interpretations and Amendments	Effective date by IASB
Amendments to IAS 21, 'Lack of exchangeability'	January 1, 2025

The above standards and interpretations have no significant impact to the Group's financial condition and financial performance based on the Group's assessment.

(3) IFRSs issued by International Accounting Standards Board ("IASB") but not yet endorsed by the FSC

New standards, interpretations and amendments issued by IASB but not yet included in the IFRSs as endorsed by the FSC are as follows:

New Standards, Interpretations and Amendments	Effective date by IASB
Amendments to IFRS 9 and IFRS 7, 'Amendments to the classification and measurement of financial Instruments'	January 1, 2026
Amendments to IFRS 9 and IFRS 7, 'Contracts referencing nature-dependent electricity'	January 1, 2026
Amendments to IFRS 10 and IAS 28, 'Sale or contribution of assets between an investor and its associate or joint venture'	To be determined by IASB
IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Insurance contracts'	January 1, 2023
Amendments to IFRS 17, 'Initial application of IFRS 17 and IFRS 9 – comparative information'	January 1, 2023
IFRS 18, 'Presentation and disclosure in financial statements'	January 1, 2027
IFRS 19, 'Subsidiaries without public accountability: disclosures'	January 1, 2027
Annual Improvements to IFRS Accounting Standards—Volume 11	January 1, 2026

Except for the following, the above standards and interpretations have no significant impact to the Company's financial condition and financial performance based on the Company's assessment.

IFRS 18, 'Presentation and disclosure in financial statements'

IFRS 18, 'Presentation and disclosure in financial statements' replaces IAS 1. The standard introduces a defined structure of the statement of profit or loss, disclosure requirements related to management-defined performance measures, and enhanced principles on aggregation and disaggregation which apply to the primary financial statements and notes.

4. Summary of Significant Accounting Policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the periods presented, unless otherwise stated.

(1) Compliance statement

The consolidated financial statements of the Group have been prepared in accordance with the "Regulations Governing the Preparation of Financial Reports by Securities Issuers" International Financial Reporting Standards, International Accounting Standards, IFRIC Interpretations, and SIC Interpretations that came into effect as endorsed by the FSC (collectively referred herein as the "IFRSs").

(2) Basis of preparation

A. Except for the following items, the consolidated financial statements have been prepared under the historical cost convention:

(a) Financial assets and financial liabilities (including derivative instruments) at fair value through profit or loss.

(b) Financial assets at fair value through other comprehensive income.

(c) Defined benefit assets recognized based on the net amount of pension fund assets less present value of defined benefit obligation.

B. The preparation of financial statements in conformity with IFRSs requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Group's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the consolidated financial statements are disclosed in Note 5.

(3) Basis of consolidation

A. Basis for preparation of consolidated financial statements:

(a) All subsidiaries are included in the Group's consolidated financial statements. Subsidiaries are all entities controlled by the Group. The Group controls an entity when the Group is exposed, or has rights, to variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Consolidation of subsidiaries begins from the date the Group obtains control of the subsidiaries and ceases when the Group loses control of the subsidiaries.

(b) Inter-company transactions, balances and unrealized gains or losses on transactions between companies within the Group are eliminated. Accounting policies of subsidiaries have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

(c) Profit or loss and each component of other comprehensive income are attributed to the owners of the parent and to the non-controlling interests. Total comprehensive income is attributed to the owners of the parent and to the non-controlling interests even if this results in the non-controlling interests having a deficit balance.

(d) Changes in a parent's ownership interest in a subsidiary that do not result in the parent losing control of the subsidiary (transactions with non-controlling interests) are accounted for as equity transactions, i.e. transactions with owners in their capacity as owners. Any difference between the amount by which the non-controlling interests are adjusted and the fair value of the consideration paid or received is recognized directly in equity.

(e) When the Group loses control of a subsidiary, the Group remeasures any investment retained in the former subsidiary at its fair value. That fair value is regarded as the fair value on initial recognition of a financial asset or the cost on initial recognition of the associate or joint venture. Any difference between fair value and carrying amount is recognized in profit or loss. All amounts previously recognized in other comprehensive income in relation to the subsidiary are reclassified to profit or loss on the same basis as would be required if the related assets or liabilities were disposed of. That is, when the Group loses control of a subsidiary, all gains or losses previously recognized in other comprehensive income in relation to the subsidiary should be reclassified from equity to profit or loss, if such gains or losses would be reclassified to profit or loss when the related assets or liabilities are disposed of.

B. Subsidiaries included in the consolidated financial statements:

			Ownership (%)		
Name of investor	Name of subsidiary	Main business activities	December 31, 2024	December 31, 2023	Description
The Company	JOCHU INVESTMENT LTD. (JOCHU BVI)	Investment holding	100%	100%	
	LEGIUN TECHNOLOGY CO., LTD. (LEGIUN)	Sales of medical devices	100%	100%	
	eBio International Co., Ltd. (eBio International)	Investment holding	52.02%	52.02%	Note 1
JOCHU BVI	SUZHOU JOCHU PRECISION METAL CO., LTD. (SUZHOU JOCHU)	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	
JOCHU BVI	JOCHU GLOBAL INVESTMENT (CAYMAN) LTD. (JOCHU GLOBAL)	Investment holding	100%	100%	
	PROSPERITY INVESTMENT HOLDING PTE. LTD. (PIH)	Investment holding	65%	65%	Note 2
eBio International	eBio technology Inc.(eBio technology)	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services for healthcare systems.	100%	100%	Note 1
JOCHU GLOBAL	JOCHU INTERNATIONAL (CAYMAN) LTD. (JOCHU INTERNATIONAL)	Investment holding	100%	100%	

Name of investor	Name of subsidiary	Main business activities	Ownership (%) December 31, 2024	Ownership (%) December 31, 2023	Description
JOCHU INTERNATIONAL	JOCHU TECHNOLOGY (XIAMEN) LTD. (XIAMEN JOCHU)	Investment holding	66.67%	66.67%	
PIH	JOCHU TECHNOLOGY (VIETNAM) CO., LTD. (JOCHU VIETNAM	Production and sales of optoelectronic components, stamping molds, and related international trading business	100%	100%	Note 3
SUZHOU JOCHU	XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	33.33%	33.33%	

Note 1: On February 17, 2023, the Company's Board of Directors resolved to increase investment in eBio International. During the period from February to March of the fiscal year 2023, the Company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of $59,414, thereby participating in its cash increase plan. As a result, the Company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company.

Note 2: In October 2023, the Company resolved the capital injection in PIH amounting to US$10,000 thousand, and the Company injected US$6,500 thousand through JOCHU BVI. As a result, the Company's shareholding in PIH increased to 65%.

Note 3: In October 2023, the Company resolved the capital injection in JOCHU VIETNAM through JOCHU BVI and PIH amounting to US$6,500 thousand. As a result, the Company's shareholding in JOCHU VIETNAM increased to 65%.

C. Subsidiaries not included in the consolidated financial statements: None.

D. Adjustments for subsidiaries with different balance sheet dates: None.

E. Significant restrictions: None.

F. Subsidiaries that have non-controlling interests that are material to the Group:

As of December 31, 2024 and 2023 the non-controlling interest amounted to $224,366 and $252,239, respectively. The information of non-controlling interest and respective subsidiaries is as follows:

		Non-controlling interests			
		December 31, 2024		December 31, 2023	
Name of subsidiary	Principal place of business	Amount	Ownership (%)	Amount	Ownership (%)
PIH	Singapore	$ 231,320	35%	$ 240,914	35%

Summarized financial information of the subsidiaries:

Balance sheet

	PIH	
	December 31, 2024	December 31, 2023
Current asset	$ 334,182	$ 370,543
Non-current assets	372,204	328,251
Current liabilities	(44,488)	(9,547)
Non-current liabilities	(984)	(921)
Total net assets	$ 660,914	$ 688,326

Statement of comprehensive income

	PIH	
	2024	2023
Revenue	$ 111,165	$ 17,936
Loss before income tax	(54,715)	(43,046)
Income tax expense	-	-
Loss for the Period	(54,715)	(43,046)
Other comprehensive income, net of tax	(17,805)	1,003
Total comprehensive income for the year	($ 72,520)	($ 42,043)
Comprehensive income attributable to non-controlling interest	($ 25,382)	($ 14,715)

Cash Flow Statements

	PIH	
	2024	2023
Net Cash used in operating activities	($ 57,185)	($ 37,480)
Net cash provided by (used in) investing activities	137,006	(191,301)
Net cash provided by financing activities	-	311,548
Effect of exchange rates on cash and cash equivalents	(8,153)	2,005
Increase in cash and cash equivalents	71,668	84,772
Cash and cash equivalents, beginning of year	161,781	77,009
Cash and cash equivalents, end of year	$ 233,449	$ 161,781

(4) Foreign currency translation

Items included in the financial statements of each of the Group’s entities are measured using the currency of the primary economic environment in which the entity operates (the “functional currency”). The consolidated financial statements are presented in New Taiwan dollars, which is the Company’s functional and the Group’s presentation currency.

A. Foreign currency transactions and balances

(a) Foreign currency transactions are translated into the functional currency using the exchange rates prevailing at the dates of the transactions or valuation where items are remeasured. Foreign exchange gains and losses resulting from the settlement of such transactions are recognized in profit or loss in the period in which they arise.

(b) Monetary assets and liabilities denominated in foreign currencies at the period end are re-translated at the exchange rates prevailing at the balance sheet date. Exchange differences arising upon re-translation at the balance sheet date are recognized in profit or loss.

(c) Non-monetary assets and liabilities denominated in foreign currencies held at fair value through profit or loss are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in profit or loss. Non-monetary assets and liabilities denominated in foreign currencies held at fair value through other comprehensive income are re-translated at the exchange rates prevailing at the balance sheet date; their translation differences are recognized in other comprehensive income. However, non-monetary assets and liabilities denominated in foreign currencies that are not measured at fair value are translated using the historical exchange rates at the dates of the initial transactions.

(d) All foreign exchange gains and losses are presented in the statement of comprehensive income within 'other gains and losses'.

B. Translation of foreign operations

(a) The operating results and financial position of all the group entities, associates and joint arrangements that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

i. Assets and liabilities for each balance sheet presented are translated at the closing exchange rate at the date of that balance sheet;

ii. Income and expenses for each statement of comprehensive income are translated at average exchange rates of that period; and

iii. All resulting exchange differences are recognised in other comprehensive income.

(b) When the foreign operation partially disposed of or sold is a subsidiary, cumulative exchange differences that were recorded in other comprehensive income are proportionately transferred to the non-controlling interest in this foreign operation. In addition, even when the Group retains partial interest in the former foreign subsidiary after losing control of the former foreign subsidiary, such transactions should be accounted for as disposal of all interest in the foreign operation.

(5) <u>Classification of current and non-current items</u>

A. Assets that meet one of the following criteria are classified as current assets; otherwise they are classified as non-current assets:

(a) Assets arising from operating activities that are expected to be realized, or are intended to be sold or consumed within the normal operating cycle;

(b) Assets held mainly for trading purposes;

(c) Assets that are expected to be realized within twelve months from the balance sheet date;

(d) Cash and cash equivalents, excluding restricted cash and cash equivalents and those that are to be exchanged or used to settle liabilities more than twelve months after the balance sheet date.

B. Liabilities that meet one of the following criteria are classified as current liabilities; otherwise they are classified as non-current liabilities:

(a) Liabilities that are expected to be settled within the normal operating cycle;

(b) Liabilities arising mainly from trading activities;

(c) Liabilities that are to be settled within twelve months from the balance sheet date;

(d) Liabilities for which the repayment date cannot be extended unconditionally to more than twelve months after the balance sheet date. Terms of a liability that could, at the option of the counterparty, result in its settlement by the issue of equity instruments do not affect its classification.

(6) Cash equivalents

Cash equivalents refer to short-term, highly liquid investments that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value. Time deposits that meet the definition above and are held for the purpose of meeting short-term cash commitments in operations are classified as cash equivalents.

(7) Financial assets at fair value through profit or loss

A. Financial assets at fair value through profit or loss are financial assets that are not measured at amortized cost or fair value through other comprehensive income.

B. On a regular way purchase or sale basis, financial assets at fair value through profit or loss are recognized and derecognized using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value and recognizes the transaction costs in profit or loss. The Group subsequently measures the financial assets at fair value, and recognizes the gain or loss in profit or loss.

D. The Group recognizes the dividend income when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(8) Financial assets at fair value through other comprehensive income

A. Financial assets at fair value through other comprehensive income comprise equity securities which are not held for trading, and for which the Group has made an irrevocable election at initial recognition to recognize changes in fair value in other comprehensive income.

B. On a regular way purchase or sale basis, financial assets at fair value through other comprehensive income are recognized and derecognized using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. The Group subsequently measures the financial assets at fair value:

The changes in fair value of equity investments that were recognized in other comprehensive income are reclassified to retained earnings and are not reclassified to profit or loss following the derecognition of the investment. Dividends are recognized as revenue when the right to receive payment is established, future economic benefits associated with the dividend will flow to the Group and the amount of the dividend can be measured reliably.

(9) Financial assets at amortized cost

A. Financial assets at amortized cost are those that meet all of the following criteria:

(a) The objective of the Group's business model is achieved by collecting contractual cash flows.

(b) The assets' contractual cash flows represent solely payments of principal and interest.

B. On a regular way purchase or sale basis, financial assets at amortized cost are recognized and derecognized using trade date accounting.

C. At initial recognition, the Group measures the financial assets at fair value plus transaction costs. Interest income from these financial assets is included in finance income using the effective interest method. A gain or loss is recognized in profit or loss when the asset is derecognized or impaired.

D. The Group's time deposits which do not fall under cash equivalents are those with a short maturity period and are measured at initial investment amount as the effect of discounting is immaterial.

(10) Notes and accounts receivable

A. Notes and accounts receivable entitle the Group a legal right to receive consideration in exchange for transferred goods or rendered services.

B. The short-term notes and accounts receivable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(11) Impairment of financial assets

For financial assets at amortized cost including accounts receivable that have a significant financing component, at each reporting date, the Group recognizes the impairment provision for 12 months expected credit losses if there has not been a significant increase in credit risk since initial recognition or recognizes the impairment provision for the lifetime expected credit losses (ECLs) if such credit risk has increased since initial recognition after taking into consideration all reasonable and verifiable information that includes forecasts. On the other hand, for accounts receivable or contract assets that do not contain a significant financing component, the Group recognizes the impairment provision for lifetime ECLs.

(12) Derecognition of financial assets

The Group derecognizes a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

(13) Leasing arrangements (lessor) – lease receivables

Based on the terms of a lease contract, a lease is classified as a finance lease if the lessee assumes substantially all the risks and rewards incidental to ownership of the leased asset.

(a) At commencement of the lease term, the lessor should record a finance lease in the balance sheet as 'lease receivables' at an amount equal to the gross investment in the lease (including initial direct costs). The difference between gross lease receivable and the present value of the receivable is recognized as 'unearned finance income of finance lease'.

(b) The lessor should allocate finance income over the lease term based on a systematic and rational basis reflecting a constant periodic rate of return on the lessor's net investment in the finance lease.

(c) Lease payments (excluding costs for services) during the lease term are applied against the gross investment in the lease to reduce both the principal and the unearned finance income.

(14) Inventories

Inventories are stated at the lower of cost and net realizable value. Cost is determined using the weighted-average method. The cost of finished goods and work in progress comprises raw materials, direct labor, other direct costs and related production overheads (allocated based on normal operating capacity). It excludes borrowing costs. The item by item approach is used in applying the lower of cost and net realizable value. Net realizable value is the estimated selling price in the ordinary course of business, less the estimated cost of completion and the estimated costs necessary to make the sale.

(15) Investments accounted for using equity method / associates

A. Associates are all entities over which the Group has significant influence but not control. In general, it is presumed that the investor has significant influence, if an investor holds, directly or indirectly 20 percent or more of the voting power of the investee. Investments in associates are accounted for using the equity method and are initially recognized at cost.

B. The Group's share of its associates' post-acquisition profits or losses is recognized in profit or loss, and its share of post-acquisition movements in other comprehensive income is recognized in other comprehensive income. When the Group's share of losses in an associate equals or exceeds its interest in the associate, including any other unsecured receivables, the Group does not recognize further losses, unless it has incurred legal or constructive obligations or made payments on behalf of the associate.

C. When changes in an associate's equity do not arise from profit or loss or other comprehensive income of the associate and such changes do not affect the Group's ownership percentage of the associate, the Group recognizes the Group's share of change in equity of the associate in 'capital surplus' in proportion to its ownership.

D. Unrealized gains on transactions between the Group and its associates are eliminated to the extent of the Group's interest in the associates. Unrealized losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of associates have been adjusted where necessary to ensure consistency with the policies adopted by the Group.

E. When the Group disposes its investment in an associate and loses significant influence over this associate, the amounts previously recognized in other comprehensive income in relation to the associate, are reclassified to profit or loss, on the same basis as would be required if the relevant assets or liabilities were disposed of. If it retains significant influence over this associate, the amounts previously recognized in other comprehensive income in relation to the associate are reclassified to profit or loss proportionately in accordance with the aforementioned approach.

(16) Property, plant and equipment

A. Property, plant and equipment are initially recorded at cost. Borrowing costs incurred during the construction period are capitalized.

B. Subsequent costs are included in the asset’s carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. The carrying amount of the replaced part is derecognized. All other repairs and maintenance are charged to profit or loss during the financial period in which they are incurred.

C. Land is not depreciated. Other property, plant and equipment apply cost model and are depreciated using the straight-line method to allocate their cost over their estimated useful lives. Each part of an item of property, plant, and equipment with a cost that is significant in relation to the total cost of the item must be depreciated separately.

D. The assets’ residual values, useful lives and depreciation methods are reviewed, and adjusted if appropriate, at each financial year-end. If expectations for the assets’ residual values and useful lives differ from previous estimates or the patterns of consumption of the assets’ future economic benefits embodied in the assets have changed significantly, any change is accounted for as a change in estimate under IAS 8, ‘Accounting Policies, Changes in Accounting Estimates and Errors’, from the date of the change. The estimated useful lives of property, plant and equipment are as follows:

Buildings and structures	
Main plants	8 years ~ 25 years
Engineering systems	5 years ~ 25 years
Machinery and equipment	3 years ~ 6 years
Transportation equipment	3 years ~ 5 years
Office equipment	2 years ~ 6 years
Leasehold improvements	5 years
Other equipment	3 years ~ 6 years

(17) Leasing arrangements (lessee)－right-of-use assets / lease liabilities

A. Leases are recognized as a right-of-use asset and a corresponding lease liability at the date at which the leased asset is available for use by the Group. For short-term leases or leases of low-value assets, lease payments are recognized as an expense on a straight-line basis over the lease term.

B. Lease liabilities include the net present value of the remaining lease payments at the commencement date, discounted using the incremental borrowing interest rate. Lease payments are comprised of fixed payments, less any lease incentives receivable. The Group subsequently measures the lease liability at amortized cost using the interest method and recognizes interest expense over the lease term. The lease liability is remeasured and the amount of remeasurement is recognized as an adjustment to the right-of-use asset when there are changes in the lease term or lease payments and such changes do not arise from contract modifications.

C. At the commencement date, the right-of-use asset is stated at cost comprising the amount of the initial measurement of lease liability. The right-of-use asset is measured subsequently using the cost model and is depreciated from the commencement date to the earlier of the end of the asset's useful life or the end of the lease term. When the lease liability is remeasured, the amount of remeasurement is recognized as an adjustment to the right-of-use asset.

D. For lease modifications that decrease the scope of the lease, the lessee shall decrease the carrying amount of the right-of-use asset and remeasure the lease liability to reflect the partial or full termination of the lease, and recognize the difference in profit or loss.

(18) Intangible assets

The Group derecognizes a financial asset when the contractual rights to receive the cash flows from the financial asset expired.

A. Goodwill

Goodwill arises in a business combination accounted for by applying the acquisition method.

B. Intangible assets, mainly patent right, are amortized on a straight-line basis over their estimated useful lives of 10 years.

(19) Impairment of non-financial assets

A. The recoverable amounts of goodwill, intangible assets with an indefinite useful life and intangible assets that have not yet been available for use are evaluated periodically. An impairment loss is recognized for the amount by which the asset's carrying amount exceeds its recoverable amount. Impairment loss of goodwill previously recognized in profit or loss shall not be reversed in the following years.

B. For the purpose of impairment testing, goodwill acquired in a business combination is allocated to each of the cash-generating units, or groups of cash-generating units, that is/are expected to benefit from the synergies of the business combination. Each unit or group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

(20) Borrowings

Borrowings comprise long-term and short-term bank borrowings. Borrowings are recognized initially at fair value, net of transaction costs incurred. Borrowings are subsequently stated at amortized cost; any difference between the proceeds (net of transaction costs) and the redemption value is recognized in profit or loss over the period of the borrowings using the effective interest method.

(21) Notes and accounts payable

A. Accounts payable are liabilities for purchases of raw materials, goods or services and notes payable are those resulting from operating and non-operating activities.

B. The short-term notes and accounts payable without bearing interest are subsequently measured at initial invoice amount as the effect of discounting is immaterial.

(22) Derecognition of financial liabilities

A financial liability is derecognized when the obligation specified in the contract is either discharged or cancelled or expires.

(23) Non-hedging and embedded derivatives

Non-hedging derivatives are initially recognized at fair value on the date a derivative contract is entered into and recorded as financial assets or financial liabilities at fair value through profit or loss. They are subsequently remeasured at fair value and the gains or losses are recognized in profit or loss.

(24) Employee benefits

A. Short-term employee benefits

Short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in respect of service rendered by employees in a period and should be recognized as expense in that period when the employees render service.

B. Pensions

(a) Defined contribution plans

For defined contribution plans, the contributions are recognised as pension expense when they are due on an accrual basis. Prepaid contributions are recognised as an asset to the extent of a cash refund or a reduction in the future payments.

(b) Defined benefit plans

i. Net obligation under a defined benefit plan is defined as the present value of an amount of pension benefits that employees will receive on retirement for their services with the Group in current period or prior periods. The liability recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the balance sheet date less the fair value of plan assets. The net defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

ii. Remeasurements arising on the defined benefit plan are recognised in other comprehensive income in the period in which they arise and are recorded as retained earnings.

iii. Past service costs are recognised immediately in profit or loss.

C. Employees' compensation and directors' and supervisors' remuneration

Employees' compensation and directors' and supervisors' remuneration are recognized as expense and liability, provided that such recognition is required under legal or constructive obligation and those amounts can be reliably estimated. Any difference between the resolved amounts and the subsequently actual distributed amounts is accounted for as changes in estimates. If employee compensation is paid by shares, the Group calculates the number of shares based on the closing price at the previous day of the board meeting resolution.

(25) Income tax

A. The tax expense for the period comprises current and deferred tax. Tax is recognized in profit or loss, except to the extent that it relates to items recognized in other comprehensive income or items recognized directly in equity, in which cases the tax is recognized in other comprehensive income or equity.

B. The current income tax expense is calculated on the basis of the tax laws enacted or substantively enacted at the balance sheet date in the countries where the Company and its subsidiaries operate and generate taxable income. Management periodically evaluates positions taken in tax returns with respect to situations in accordance with applicable tax regulations. It establishes provisions where appropriate based on the amounts expected to be paid to the tax authorities. An additional tax is levied on the unappropriated retained earnings and is recorded as income tax expense in the year the stockholders resolve to retain the earnings.

C. Deferred tax is recognized, using the balance sheet liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying amounts in the consolidated balance sheet. However, the deferred tax is not accounted for if it arises from initial recognition of goodwill or of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss and does not give rise to equal taxable and deductible temporary differences. Deferred tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future. Deferred tax is determined using tax rates (and laws) that have been enacted or substantially enacted by the balance sheet date and are expected to apply when the related deferred tax asset is realized or the deferred tax liability is settled.

D. Deferred tax assets are recognized only to the extent that it is probable that future taxable profit will be available against which the temporary differences can be utilized. At each balance sheet date, unrecognized and recognized deferred tax assets are reassessed.

E. Current income tax assets and liabilities are offset and the net amount reported in the balance sheet when there is a legally enforceable right to offset the recognized amounts and there is an intention to settle on a net basis or realize the asset and settle the liability simultaneously. Deferred tax assets and liabilities are offset on the balance sheet when the entity has the legally enforceable right to offset current tax assets against current tax liabilities and they are levied by the same taxation authority on either the same entity or different entities that intend to settle on a net basis or realize the asset and settle the liability simultaneously.

(26) Share capital

A. Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares or stock options are shown in equity as a deduction, net of tax, from the proceeds.

B. Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(27) Treasury shares

Where the Company repurchases the Company's equity share capital that has been issued, the consideration paid, including any directly attributable incremental costs (net of income taxes) is deducted from equity attributable to the Company's equity holders. Where such shares are subsequently reissued, the difference between their book value and any consideration received, net of any directly attributable incremental transaction costs and the related income tax effects, is included in equity attributable to the Company's equity holders.

(28) Dividends

Dividends are recorded in the Company's financial statements in the period in which they are resolved by the Company's shareholders. Cash dividends are recorded as liabilities; stock dividends are recorded as stock dividends to be distributed and are reclassified to ordinary shares on the effective date of new shares issuance.

(29) Revenue recognition

A. The Group manufactures and sells optoelectronic components, medical devices, and metal furniture. Sales are recognized when control of the products has transferred, being when the products are delivered to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customer's acceptance of the products. Delivery occurs when the products have been shipped to the specific location, the risks of obsolescence and loss have been transferred to the customer, and either the customer has accepted the products in accordance with the sales contract, or the Group has objective evidence that all criteria for acceptance have been satisfied.

B. Revenue from these sales is recognized based on the price specified in the contract, net of the estimated sales returns, discounts, and allowances. Revenue is only recognized to the extent that it is highly probable that a significant reversal will not occur. The estimation is subject to an assessment at each reporting date. A refund liability is recognized for expected sales returns, discounts, and allowances payable to customers in relation to sales made until the end of the reporting period.

C. A receivable is recognized when the goods are delivered as this is the point in time that the consideration is unconditional because only the passage of time is required before the payment is due.

(30) Government grants

Government grants are recognized at their fair value only when there is reasonable assurance that the Group will comply with any conditions attached to the grants and the grants will be received. Government grants are recognized in profit or loss on a systematic basis over the periods in which the Group recognizes expenses for the related costs for which the grants are intended to compensate. Government grants related to property, plant and equipment are recognized as non-current liabilities and are amortized to profit or loss over the estimated useful lives of the related assets using the straight-line method.

(31) Business combinations

A. The Group uses the acquisition method to account for business combinations. The consideration transferred for an acquisition is measured as the fair value of the assets transferred, liabilities incurred or assumed and equity instruments issued at the acquisition date, plus the fair value of any assets and liabilities resulting from a contingent consideration arrangement. All acquisition-related costs are expensed as incurred. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. For each business combination, the Group measures at the acquisition date components of non-controlling interests in the acquiree that are present ownership interests and entitle their holders to the proportionate share of the entity's net assets in the event of liquidation at either fair value or the present ownership instruments' proportionate share in the recognized amounts of the acquiree's identifiable net assets. All other non-controlling interests should be measured at the acquisition-date fair value.

B. The excess of the consideration transferred, the amount of any non-controlling interest in the acquiree and the fair value of any previous equity interest in the acquiree over the fair value of the identifiable assets acquired and the liabilities assumed is recorded as goodwill at the acquisition date. If the total of consideration transferred, non-controlling interest in the acquiree recognized and the fair value of previously held equity interest in the acquiree is less than the fair value of the identifiable assets acquired and the liabilities assumed, the difference is recognized directly in profit or loss on the acquisition date.

(32) Operating segments

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The Group's chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors that makes strategic decisions.

5. Critical Accounting Judgments, Estimates and Key Sources of Assumption Uncertainty

The preparation of these consolidated financial statements requires management to make critical judgments in applying the Group's accounting policies and make critical assumptions and estimates concerning future events. Assumptions and estimates may differ from the actual results and are continually evaluated and adjusted based on historical experience and other factors. Such assumptions and estimates have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year; and the related information is addressed below:

(1) Critical judgments in applying the Group's accounting policies

None.

(2) Critical accounting estimates and assumptions

A. Evaluation of inventories

As inventories are stated at the lower of cost and net realizable value, the Group must determine the net realizable value of inventories on balance sheet date using judgments and estimates. Due to the rapid technology innovation, the Group evaluates the amounts of normal inventory consumption, obsolete inventories or inventories without market selling value on balance sheet date, and writes down the cost of inventories to the net realizable value. Such an evaluation of inventories is principally based on the net realizable value of the products within the specified period in the future. Therefore, there might be material changes to the evaluation.

B. Fair value assessment of goodwill and identifiable assets:

The assessment of goodwill relies on the subjective judgment of the Group, including the identification of cash-generating units and the allocation of assets, liabilities, and goodwill to the respective cash-generating units, as well as the determination of the fair value of identifiable assets acquired in business combinations. The fair value assessment of goodwill and identifiable assets has been conducted with the assistance of expert valuation report. For details on the retrospective adjustments, please refer to Note 6 (30).

C. Impairment assessment of goodwill

The impairment assessment of goodwill relies on the Group's subjective judgement, including identifying cash-generating units, allocating assets and liabilities as well as goodwill to related cash-generating units, and determining the recoverable amounts of related cash-generating units. Please refer to Note 6(11) for the information of goodwill impairment.

As of December 31, 2024, the Group recognized goodwill, net of impairment loss, amounting to $30,331.

6. Details of Significant Accounts

(1) Cash and cash equivalents

	December 31, 2024	December 31, 2023
Cash on hand and petty cash	$ 379	$ 420
Checking accounts and demand deposits	440,842	408,996
Time deposits	679,668	814,169
	$ 1,120,889	$ 1,223,585

A. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

B. The Group has no cash and cash equivalents pledged to others.

(2) Financial assets at fair value through profit or loss

Items	December 31, 2024	December 31, 2023
Current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	$ -	$ 7,870
Non-current items:		
Financial assets mandatorily measured at fair value through profit or loss		
Private equity fund	$ 30,000	$ 21,000
Valuation adjustment	477	4,103
	$ 30,477	$ 25,103
Current items:		
Financial liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	$ 5,710	$ -

A. Amounts recognized in profit or loss in relation to financial assets at fair value through profit or loss are listed below:

	Years ended December 31,	
	2024	2023
Financial assets and liabilities mandatorily measured at fair value through profit or loss		
Forward foreign exchange contracts	($ 32,518)	($ 20,293)
Private equity fund	(3,626)	3,643
	($ 36,144)	($ 16,650)

B. The Group entered into contracts relating to derivative financial assets which were not accounted for under hedge accounting. The information is listed below:

	December 31, 2024	
Derivative financial Instruments	Contract amount (notional principal) (in thousands)	Maturity date
Current items:		
Forward foreign exchange contracts		
Sell USD Buy RMB	USD 11,520	2025.01.01~2025.07.28
Sell USD Buy NTD	USD 4,060	2025.01.10~2025.03.10

Derivative financial Instruments	December 31, 2023 Contract amount (notional principal) (in thousands)		Maturity date
Current items:			
Forward foreign exchange contracts			
Sell USD Buy RMB	USD	13,100	2024.01.01~2024.07.30
Sell USD Buy NTD	USD	4,060	2024.01.10~2024.03.11

The Group entered into forward foreign exchange contracts to sell USD to hedge exchange rate fluctuations of foreign currency denominated assets and liabilities. However, these forward foreign exchange contracts are not accounted for under hedge accounting.

C. The Group had no financial assets at fair value through profit or loss pledged to others as collateral.

D. The Group transacts with a variety of financial institutions all with high credit quality to disperse credit risk, so it expects that the probability of counterparty default is remote.

(3) Financial assets at fair value through other comprehensive income

Items	December 31, 2024	December 31, 2023
Non-current items:		
Equity instruments		
Unlisted stocks		
W Company	$ 3,278	$ 3,070
Y Company	3,000	-
B Company	2,500	-
	$ 8,778	$ 3,070

A. The Group has elected to classify equity instruments that are considered to be strategic investments as financial assets at fair value through other comprehensive income. As at December 31, 2024 and 2023, the fair value of such investments were the same as the book value.

B. The amounts recognized in other comprehensive income in relation to the financial assets at fair value through other comprehensive income are listed below:

	2024	2023
Equity instruments at fair value through other comprehensive income		
Fair value changes recognized in other comprehensive income	$ -	$ 7,906
Cumulative losses reclassified to retained earnings due to derecognition of financial assets	$ -	$ 20,294

C. The Group had no financial assets at fair value through other comprehensive income pledged to others as collateral.

(4) Financial assets at amortized cost

Items	December 31, 2024	December 31, 2023
Current items:		
Restricted assets	$ 547	$ 694
Time deposits with original maturity period of more than three months	-	186,551
	$ 547	$ 187,245
Non-current item		
Restricted assets	$ -	$ 399

A. Amounts recognized in profit or loss in relation to financial assets at amortized cost are listed below:

	Years ended December 31,	
	2024	2023
Interest income	$ 6,300	$ 1,912

B. As at December 31, 2024 and 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the financial assets at amortized cost held by the Group was the book value at the balance sheet date.

C. Details of the Group's financial assets at amortized cost pledged to others as collateral are provided in Note 8.

D. The counterparties of the Group's investments in certificates of deposits are financial institutions with high credit quality, so the Group expects that the probability of counterparty default is remote.

(5) Notes and accounts receivable

	December 31, 2024	December 31, 2023
Notes receivable	$ 22,726	$ 31,977
Accounts receivable	$ 1,126,727	$ 1,132,344
Less: Allowance for uncollectible accounts	(2,206)	(578)
	$ 1,124,521	$ 1,131,766

A. As at December 31, 2024 and 2023, notes receivable and accounts receivable were all from contracts with customers. As at January 1, 2023, the balance of receivables from contracts with customers amounted to $1,033,763.

B. The ageing analysis of notes receivable and accounts receivable is as follows:

	December 31, 2024		December 31, 2023	
	Notes receivable	Accounts receivable	Notes receivable	Accounts receivable
Not past due	$ 22,726	$ 1,112,733	$ 31,977	$ 1,087,415
Up to 90 days	-	11,788	-	44,351
Over 91 days	-	2,206	-	578
	$ 22,726	$ 1,126,727	$ 31,977	$ 1,132,344

The above ageing analysis was based on past due date.

C. As at December 31, 2024 and 2023, without taking into account any collateral held or other credit enhancements, the maximum exposure to credit risk in respect of the amount that best represents the Group's notes and accounts receivable were the book value at the balance sheet date.

D. Information relating to credit risk of notes receivable and accounts receivable is provided in Note 12(2).

(6) Other receivables

	December 31, 2024	December 31, 2023
Receipts under custody - Molds	$ 119,594	$ 71,603
Molds receivable	3,858	19,285
Other	5,190	3,786
	128,642	94,674
Less: Allowance for uncollectible loss	-	(6,007)
	$ 128,642	$ 88,667

(7) Inventories

	December 31, 2024	December 31, 2023
Raw materials	$ 106,401	$ 87,455
Work in progress	71,955	47,541
Finished goods	151,416	124,355
	329,772	259,351
Less: Allowance for valuation loss	(57,653)	(58,866)
	$ 272,119	$ 200,485

The cost of inventories recognized as expense for the year:

	Years ended December 31,	
	2024	2023
Cost of inventories sold	$ 2,832,713	$ 2,740,088
Gain on reversal of decline in market value	(1,921)	(5,155)
Loss on disposal of inventory	27,320	24,142
Revenue from sale of scraps	(73,363)	(79,224)
	$ 2,784,749	$ 2,679,851

For the year ended December 31, 2024 and 2023, the Group realized recovery gains as a result of the sale and put into production of previously impaired and stagnant inventory

(8) Investments accounted for under equity method

	2024	2023
At January 1	$ -	$ 8,442
Disposal of investments accounted for under equity method	-	(6,685)
Share of profit of investments accounted for under equity method	-	(1,757)
At December 31	$ -	-

During the period from February to March of the fiscal year 2023, the Company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of $59,414, thereby participating in its cash increase plan. As a result, the Company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, and the company obtained control over it in March of the same year. In accordance with IFRS 3 "Business Combinations, "the previously held equity interest in eBio International Co., Ltd. was remeasured at fair value as of the acquisition date, resulting in a disposal gain of $3,542, which was recognized in profit and loss.

(9) Property, plant and equipment

	2024								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$ 313,143	$ 1,102,390	$ 1,010,751	$ 24,952	$ 14,318	$ 17,351	$ 183,765	$ 723	$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	$ 313,143	$ 552,839	$ 193,267	$ 5,781	$ 1,624	$ 4,618	$ 29,582	$ 723	$ 1,101,577
Opening net book amount as at January 1	$ 313,143	$ 552,839	$ 193,267	$ 5,781	$ 1,624	$ 4,618	$ 29,582	$ 723	$ 1,101,577
Additions	-	17,333	156,400	3,641	2,377	5,844	31,320	29,908	246,823
Disposals	-	(2,193)	(4,761)	-	-	-	-	-	(6,954)
Depreciation charge	-	(53,671)	(65,565)	(2,751)	(1,116)	(1,875)	(20,122)	-	(145,100)
Impairment loss	-	-	(6,609)	-	(416)	-	(303)	-	(7,328)
Reclassifications	-	4,104	25,593	-	53	-	2,518	1,469	33,737
Net exchange differences	-	17,006	9,030	311	11	-	(6,567)	177	19,968
Closing net book amount as at December 31	$ 313,143	$ 535,418	$ 307,355	$ 6,982	$ 2,533	$ 8,587	$ 36,428	$ 32,277	$ 1,242,723
At December 31									
Cost	$ 313,143	$ 1,150,187	$ 1,154,975	$ 26,217	$ 15,246	$ 23,195	$ 198,257	$ 32,277	$ 2,913,497
Accumulated depreciation	-	(600,095)	(826,796)	(19,235)	(12,297)	(14,608)	(161,526)	-	(1,634,557)
Accumulated impairment	-	(14,674)	(20,824)	-	(416)	-	(303)	-	(36,217)
	$ 313,143	$ 535,418	$ 307,355	$ 6,982	$ 2,533	$ 8,587	$ 36,428	$ 32,277	$ 1,242,723

	2023								
	Land	Buildings and structures	Machinery and equipment	Transportation equipment	Office equipment	Leasehold improvements	Other equipment	Construction in progress	Total
At January 1									
Cost	$ 313,143	$ 903,115	$ 995,083	$ 21,269	$ 11,823	$ 14,404	$ 160,450	$ 188,108	$ 2,607,395
Accumulated depreciation	-	(492,718)	(822,822)	(18,862)	(10,610)	(11,436)	(140,471)	-	(1,496,919)
Accumulated impairment	-	(14,674)	(14,947)	-	-	-	-	-	(29,621)
	$ 313,143	$ 395,723	$ 157,314	$ 2,407	$ 1,213	$ 2,968	$ 19,979	$ 188,108	$ 1,080,855
Opening net book amount as at January 1	$ 313,143	$ 395,723	$ 157,314	$ 2,407	$ 1,213	$ 2,968	$ 19,979	$ 188,108	$ 1,080,855
Additions	-	35,120	93,739	6,035	1,229	2,947	25,018	736	164,824
Acquisition of business combination	-	-	3,321	-	474	-	1,478	-	5,273
Transfer	-	181,024	8,380	-	-	-	-	(189,404)	-
Disposals	-	(41)	(2,271)	(159)	-	-	(28)	-	(2,499)
Depreciation charge	-	(52,876)	(66,460)	(2,395)	(1,337)	(1,297)	(16,503)	-	(140,868)
Reclassifications	-	-	1,945	-	49	-	-	-	1,994
Net exchange differences	-	(6,111)	(2,701)	(107)	(4)	-	(362)	1,283	(8,002)
Closing net book amount as at December 31	$ 313,143	$ 552,839	$ 193,267	$ 5,781	$ 1,624	$ 4,618	$ 29,582	$ 723	$ 1,101,577
At December 31									
Cost	$ 313,143	$ 1,102,390	$ 1,010,751	$ 24,952	$ 14,318	$ 17,351	$ 183,765	$ 723	$ 2,667,393
Accumulated depreciation	-	(534,877)	(803,275)	(19,171)	(12,694)	(12,733)	(154,183)	-	(1,536,933)
Accumulated impairment	-	(14,674)	(14,209)	-	-	-	-	-	(28,883)
	$ 313,143	$ 552,839	$ 193,267	$ 5,781	$ 1,624	$ 4,618	$ 29,582	$ 723	$ 1,101,577

A. Amount of borrowing costs capitalized as part of property, plant and equipment and the range of the interest rates for such capitalization: None.

B. The significant components of buildings and structures include main plants and engineering systems, which are depreciated over 8~36 years and 5~25 years, respectively.

C. The Group has estimated that the expected future cash flows of certain machinery and equipment used in the production of products will decrease resulting in a recoverable amount which is less than the book value. Accordingly, for the years ended December 31, 2024, the Group recognized impairment loss of $7,328.

D. Information about the property, plant and equipment that were pledged to others as collateral is provided in Note 8.

E. The amount of reclassifications for the years ended December 31, 2024 and 2023 was reclassified from other non-current assets to property, plant and equipment.

(10) Leasing arrangements－lessee

A. The Group leases various assets including land, buildings and business vehicles. Rental contracts for land are typically made for periods of 46 to 50 years, while the others are made for periods of 1 to 5 years. Lease terms are negotiated on an individual basis and contain a wide range of different terms and conditions. The lease agreements do not impose covenants, but leased assets may not be used as security for borrowing purposes.

B. Short-term leases with a lease term of 12 months or less comprise leasing of warehouse and office. Low-value assets comprise leasing of multifunction printers. The abovementioned leases were excluded from right-of-use assets.

C. The carrying amount of right-of-use assets and the depreciation charge are as follows:

	Carrying amount	
	December 31, 2024	December 31, 2023
Land	$ 73,688	$ 72,088
Buildings	40,816	55,293
Business vehicles	2,992	4,234
	$ 117,496	$ 131,615

	Depreciation charge	
	Years ended December 31,	
	2024	2023
Land	$ 1,808	$ 1,782
Buildings	26,349	27,621
Business vehicles	1,562	1,435
	$ 29,719	$ 30,838

D. For the years ended December 31, 2024 and 2023, the additions to right-of-use assets were $14,978 and $77,130, respectively.

E. The information on profit and loss accounts relating to lease contracts is as follows:

	Years ended December 31,	
	2024	2023
Items affecting profit or loss		
Interest expense on lease liabilities	$ 1,486	$ 1,253
Expense on short-term lease contracts	11,553	10,824
Expense on leases of low-value assets	58	48
Expense on variable lease payments	656	557
Gain on lease modification	134	268

F. For the years ended December 31, 2024 and 2023, the Group's total cash outflow for leases were $39,415 and $46,663, respectively.

G. Variable lease payments

Some of the Group's lease contracts contain variable lease payment terms that are linked to distance and hours which were used. Various lease payments that depend on distance and hours are recognized in profit or loss in the period in which the event or condition that triggers those payments occurs.

H. On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. Since January 1, 2025, the monthly lease payments will be adjusted according to the price index based on the originally agreed lease contract. The estimated increase in right-of-use assets will be $557.

(11) Intangible assets

	2024			
	Patent Right	Goodwill	Other	Total
At January 1				
Cost	$ 24,100	$ 45,247	$ -	$ 69,347
Accumulated amortization	(1,802)	-	-	(1,802)
	$ 22,298	$ 45,247	$ -	$ 67,545
Opening net book amount as at January 1	$ 22,298	$ 45,247	$ -	$ 67,545
Additions	-	-	7,639	7,639
Amortization charge	(2,406)	-	-	(2,406)
Impairment Loss	-	(14,916)	-	(14,916)
Closing net book amount as at December 31	$ 18,892	$ 30,331	$ 7,639	$ 57,862

	2024			
	Patent Right	Goodwill	Other	Total
At December 31				
Cost	$ 24,100	$ 45,247	$ 7,639	$ 76,986
Accumulated amortization	(4,208)	-	-	(4,208)
Accumulated Impairment Loss	-	(14,916)	-	(14,916)
	$ 19,892	$ 30,331	$ 7,639	$ 57,862

	2023		
	Patent Right	Goodwill	Total
At January 1			
Cost	$ -	$ -	$ -
Accumulated amortization	-	-	-
	$ -	$ -	$ -
At January 1	$ -	$ -	$ -
Additions	100	-	100
Acquired in a business combination	24,000	45,247	69,247
Amortization Expenses	(1,802)	-	(1,802)
At December 31	$ 22,298	$ 45,247	$ 67,545
At December 31			
Cost	$ 24,100	$ 45,247	$ 69,347
Accumulated amortization	(1,802)	-	(1,802)
	$ 22,298	$ 45,247	$ 67,545

A. The amounts recognized in amortization charge are listed below:

	2024	2023
General and administrative expenses	$ 2,406	$ 1,802

B. Amount of borrowing costs capitalized as part of intangible assets and the range of the interest rates for such capitalization: None.

C. Goodwill is allocated to the Group's cash-generating units identified by operating segments.

	December 31, 2024	December 31, 2023
Medical businesses	$ 30,331	$ 45,247

D. Goodwill is allocated to the Group’s cash-generating units identified by operating segments. The recoverable amount is assessed based on value in use, which is calculated using pre-tax cash flow forecasts from five-year financial budgets approved by management. Cash flows beyond the five-year period are estimated using the growth rates described below.

2024

Since its establishment, eBio International Co., Ltd. has continuously faced losses due to market changes and operational challenges. As a result, the actual revenue growth and budget achievement after the acquisition have fallen short of expectations. From the acquisition date to December 31, 2024, there has been a significant discrepancy between the actual revenue and operating profit/loss compared to the original projections.

As of December 31, 2024, the Group assessed the recoverable amount of goodwill by comparing past budget execution results and estimating the fair value of the cash-generating unit based on expected future cash flows. The key assumptions used for the calculation of value in use are as follows:

	2024
Lack of marketability discount	25%~30%
Growth rates	1.50%
Discount rate	15.47%

Based on the aforementioned assessment method, the goodwill impairment loss recognized for the year ended December 31, 2024 was $14,916.

2023

The Group's recoverable amount calculated based on value in use exceeds the book value, so no impairment of goodwill has occurred. The key assumptions used for the calculation of value in use are as follows:

(a)

	2023
Operating profit ratio	3.00%
Rate of return	2.00%
Discount rate	14.07%

Management determines the operating profit margin for budget based on past performance and their expectations of market development. The adopted weighted average growth rate is consistent with forecasts in industry reports. The discount rate is a pre-tax rate that reflects the specific risks of the relevant operating segments.

(b) The Group's cash-generating unit in the medical business remains in a loss situation. Comparing historical industry averages and historical profits and losses of comparable companies, adjustment of 50% estimated loss is assessed.

(C) The goodwill impairment assessment of the Group as of December 31, 2023 was conducted using the goodwill impairment valuation report issued by Wau Yuan Property Appraisal Co., Ltd., signed by appraiser Chen Shu-Zhen, with the measurement date: December 31, 2023.

E. The Group has no intangible assets pledged to others.

F. For details on the Group's acquisition consideration paid and goodwill recognition, please refer to Note 6(30).

(12) Short-term borrowings

Type of borrowings	December 31, 2024	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	$ 45,000	2.09%～2.15%	None

Type of borrowings	December 31, 2023	Interest rate range	Collateral
Bank borrowings			
Unsecured borrowings	$ 45,000	1.88%～2.015%	None

(13) Accounts payable

	December 31, 2024	December 31, 2023
Accounts payable	$ 543,732	$ 421,454
Estimated accounts payable	60,567	64,509
	$ 604,299	$ 485,963

(14) Other payables

	December 31, 2024	December 31, 2023
Salaries and bonus payable	$ 113,397	$ 103,239
Insurance payable	74,948	71,251
Mold cost payable	51,116	43,125
Equipment payable	17,593	11,381
Construction payable	696	627
Others	83,438	74,991
	$ 341,188	$ 304,614

(15) Long-term borrowings

Type of borrowings	Borrowing period and repayment term	Interest rate range	Collateral	December 31, 2024
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.97%	Please refer to Note 8	$ 200,000
				200,000
Less: Current portion				(50,000)
				$ 150,000

Type of borrowings	Borrowing period and repayment term	Interest rate range	Collateral	December 31, 2023
Installment-repayment borrowings				
Secured borrowings	Borrowing period is from December 28, 2021 to December 28, 2028; interest is payable monthly.	1.85%	Please refer to Note 8	$ 250,000
Unsecured borrowings	Borrowing period is from May 26, 2020 to July 1, 2025; interest is payable monthly.	2.595%	None	7,633
				257,633
Less: Current portion				(57,633)
				$ 200,000

(16) Pensions

A. Defined benefit pension plan

(a) The Company has a defined benefit pension plan in accordance with the Labor Standards Law, covering all regular employees' service years prior to the enforcement of the Labor Pension Act on July 1, 2005 and service years thereafter of employees who chose to continue to be subject to the pension mechanism under the Law. Under the defined benefit pension plan, two units are accrued for each year of service for the first 15 years and one unit for each additional year thereafter, subject to a maximum of 45 units. Pension benefits are based on the number of units accrued and the average monthly salaries and wages of the last 6 months prior to retirement. The Company contributes monthly an amount equal to 2% of the employees' monthly salaries and wages to the retirement fund deposited with Bank of Taiwan, the trustee, under the name of the independent retirement fund committee. Also, the Company would assess the balance in the aforementioned labor pension reserve account by the end of December 31, every year. If the account balance is insufficient to pay the pension calculated by the aforementioned method to the employees expected to qualify for retirement in the following year, the Company will make contributions for the deficit by next March.

(b) The amounts recognized in the balance sheet are as follows:

	December 31, 2024	December 31, 2023
Present value of defined benefit obligations	($ 4,772)	($ 6,158)
Fair value of plan assets	16,971	16,364
Net defined benefit asset	$ 12,199	$ 10,206

(c) Movements in net defined benefit assets are as follows:

	2024		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	($ 6,158)	$ 16,364	$ 10,206
Interest (expense) income	(69)	184	115
	(6,227)	16,548	10,321
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	1,473	1,473
Change in financial assumptions	133	-	133
Experience adjustments	272	-	272
	405	1,473	1,878
Pension fund contribution	1,050	(1,050)	-
At December 31	($ 4,772)	$ 16,971	$ 12,199

	2023		
	Present value of defined benefit obligations	Fair value of plan assets	Net defined benefit asset
At January 1	($ 6,024)	$ 16,023	$ 9,999
Interest (expense) income	(83)	221	138
	(6,107)	16,244	10,137
Remeasurements:			
Return on plan assets (excluding amounts included in interest income or expense)	-	120	120
Change in financial assumptions	(106)	-	(106)
Experience adjustments	55	-	55
	(51)	120	69
At December 31	($ 6,158)	$ 16,364	$ 10,206

(d) The Bank of Taiwan was commissioned to manage the Fund of the Company's defined benefit pension plan in accordance with the Fund's annual investment and utilization plan and the "Regulations for Revenues, Expenditures, Safeguard and Utilization of the Labor Retirement Fund" (Article 6: The scope of utilization for the Fund includes deposit in domestic or foreign financial institutions, investment in domestic or foreign listed, over-the-counter, or private placement equity securities, investment in domestic or foreign real estate securitization products, etc.). With regard to the utilization of the Fund, its minimum earnings in the annual distributions on the final financial statements shall be no less than the earnings attainable from the amounts accrued from two-year time deposits with the interest rates offered by local banks. If the earnings is less than aforementioned rates, government shall make payment for the deficit after being authorized by the Regulator. The Company has no right to participate in managing and operating that fund and hence the Company is unable to disclose the classification of plan assets fair value in accordance with IAS 19 paragraph 142. The composition of fair value of plan assets as of December 31, 2024 and 2023 is given in the Annual Labor Retirement Fund Utilization Report announced by the government.

(e) The principal actuarial assumptions used were as follows:

	Years ended December 31,	
	2024	2023
Discount rate	1.500%	1.125%
Future salary increases	3%	3%

i. Future mortality rate was estimated based on the 6th Taiwan Standard Ordinary Experience Mortality Table.

ii. Because the main actuarial assumption changed, the present value of defined benefit obligation is affected. The analysis was as follows:

	Discount rate		Future salary increases	
	Increase 0.25%	Decrease 0.25%	Increase 0.25%	Decrease 0.25%
December 31, 2024				
Effect on present value of defined benefit obligation	($ 86)	$ 88	$ 85	($ 84)
December 31, 2023				
Effect on present value of defined benefit obligation	($ 106)	$ 109	$ 105	($ 103)

iii. The sensitivity analysis above is based on one assumption which changed while the other conditions remain unchanged. In practice, more than one assumption may change all at once. The method of analyzing sensitivity and the method of calculating net pension liability in the balance sheet are the same.

iv. The methods and types of assumptions used in preparing the sensitivity analysis did not change compared to the previous period

(f) The Company has acquired the approval from the Hsinchu County Government to suspend its contribution to the defined benefit pension plan for 2024 and 2023.

(g) As of December 31, 2024 and 2023, the weighted average duration of the retirement plan is 7.3 and 6.9 years, respectively.

(h) The company has a long-term employee benefits plan, under which employees are rewarded with a bonus, a certificate of appreciation, or a trophy upon completing every five years of service. For the employee benefits plan, the Company recognised pension costs of $85 and $420 for the years ended December 31, 2024 and 2023, respectively.

B. Defined contribution pension plan

(a) Effective July 1, 2005, the Company and its domestic subsidiaries have established a defined contribution pension plan (the "New Plan") under the Labor Pension Act (the "Act"), covering all regular employees with R.O.C. nationality. Under the New Plan, the Company and its domestic subsidiaries contribute monthly an amount based on 6% of the employees' monthly salaries and wages to the employees' individual pension accounts at the Bureau of Labor Insurance. The benefits accrued are paid monthly or in lump sum upon termination of employment.

(b) The Company's mainland China subsidiaries have a defined contribution plan. Monthly contributions to an independent fund administered by the government in accordance with the pension regulations in the People's Republic of China (PRC) are based on certain percentage of employees' monthly salaries and wages. The contribution for each employee was planned by PRC government. Other than the monthly contributions, the Group has no further obligations.

(c) The pension costs under the defined contribution pension plan of the Group for the years ended December 31, 2024 and 2023 were $35,472 and $31,119, respectively.

(17) Share capital

A. As of December 31, 2024, the Company's authorized capital was $2,000,000, consisting of 200,000 thousand shares of ordinary stock, and the paid-in capital was $892,631 with a par value of $10 (in dollars) per share. All proceeds from shares issued have been collected.

Movements in the number of the Company's ordinary shares in thousands outstanding are as follows:

	2024	2023
At January 1	89,263	89,263
Treasury shares buyback	(1,000)	-
At December 31	88,263	89,263

B. Treasury shares

(a) The Company's Board of Directors approved a share buyback program on December 22, 2023 to repurchase 1,000 thousand shares during the period from December 25, 2023 to February 23, 2024. The repurchase price range is between NT$16.65 and NT$35.35 per share. Details are summarized below:

		December 31, 2024	
Name of company holding the shares	Reason for reacquisition	Number of shares (In thousands)	Carrying amount
The Company	To be reissued to employees	1,000	$ 25,619

Name of company holding the shares	Reason for reacquisition	December 31, 2023 Number of shares (In thousands)	Carrying amount
The Company	To be reissued to employees	-	$ -

(b) Pursuant to the R.O.C. Securities and Exchange Act, the number of shares bought back as treasury share should not exceed 10% of the number of the Company's issued and outstanding shares and the amount bought back should not exceed the sum of retained earnings, paid-in capital in excess of par value and realized capital surplus.

(c) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should not be pledged as collateral and is not entitled to dividends before it is reissued.

(d) Pursuant to the R.O.C. Securities and Exchange Act, treasury shares should be reissued to the employees within five years from the reacquisition date and shares not reissued within the five-year period are to be retired. Treasury shares to enhance the Company's credit rating and the stockholders' equity should be retired within six months of acquisition.

(18) Capital surplus

	December 31, 2024	December 31, 2023
Share premium	$ 1,505,856	$ 1,549,988
From business combinations	31,797	31,797
Treasury shares transactions	76,571	76,571
Changes in ownership interests in subsidiaries	7,906	7,906
	$ 1,622,130	$ 1,666,262

A. Pursuant to the R.O.C. Company Act, capital surplus arising from paid-in capital in excess of par value on issuance of common stocks and donations can be used to cover accumulated deficit or to issue new stocks or cash to shareholders in proportion to their share ownership, provided that the Company has no accumulated deficit. Further, the R.O.C. Securities and Exchange Act requires that the amount of capital surplus to be capitalized mentioned above should not exceed 10% of the paid-in capital each year. Capital surplus should not be used to cover accumulated deficit unless the legal reserve is insufficient.

B. On April 11, 2023, the company's board of directors resolved a cash distribution of $62,484 from the capital surplus ($0.7 per share).

C. On April 9, 2024, the company's board of directors resolved a cash distribution of $44,132 from the capital surplus ($0.5 per share).

(19) Retained earnings

A. Under the Company's Articles of Incorporation, the current year's earnings, if any, shall first be used to pay all taxes and offset prior years' operating losses, set aside 10% of the remaining amount as legal reserve, then set aside or reverse a special reserve according to relevant regulations when necessary. The remainder, if any, to be retained or to be appropriated shall be proposed by the Board of Directors and resolved by the shareholders at the shareholders' meeting.

The Board of Directors is authorized to distribute all or part of the dividends and bonuses, capital surplus or legal reserve that should be distributed in cash by a resolution approved by more than half of the directors present at a meeting with the presence of more than two-thirds of the directors. Such provisions does not require approval by the shareholders.

B. The Company's dividend policy is summarized below: as the Company is in the stable growth stage, the residual dividend policy is adopted taking into consideration the Company's future capital expenditure plans and the financial structure. According to the dividend policy adopted by the Board of Directors, at least 1% of the Company's distributable earnings as of the end of the period shall be appropriated as cash or stock dividends, of which not more than 60% shall be paid in stock.

C. Except for covering accumulated deficit or issuing new stocks or cash to shareholders in proportion to their share ownership, the legal reserve shall not be used for any other purpose. The use of legal reserve for the issuance of stocks or cash to shareholders in proportion to their share ownership is permitted, provided that the distribution of the reserve is limited to the portion in excess of 25% of the Company's paid-in capital.

D. (a) In accordance with the regulations, the Company shall set aside special reserve from the debit balance on other equity items at the balance sheet date before distributing earnings. When debit balance on other equity items is reversed subsequently, the reversed amount could be included in the distributable earnings.

(b) The amounts previously set aside by the Company as special reserve on initial application of IFRSs in accordance with Order No. Financial-Supervisory-Securities-Corporate-1090150022, dated March 31, 2021, shall be reversed proportionately when the relevant assets are used, disposed of or reclassified subsequently.

E. Appropriation of earnings

(a) The appropriations of 2022 earnings had been resolved at the annual shareholders' meeting on May 26, 2023. Details are summarized below:

	2022	
	Amount	Dividends per share (in dollars)
Reversal of special reserve	($ 60,457)	
Cash dividends	26,779	$ 0.30

(b) The appropriations of 2023 earnings had been resolved at the annual shareholders' meeting on May 24, 2024. Details are summarized below:

	2023	
	Amount	Dividends per share (in dollars)
Legal reserve	$ 7,869	
Special reserve	7,080	
Cash dividends	44,132	$ 0.50

(20) Other equity items

	2024		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	$ -	($ 369,916)	($ 369,916)
Currency translation differences:			
–Group	-	89,208	89,208
At December 31	$ -	($ 280,708)	($ 280,708)

	2023		
	Unrealized gains (losses) on valuation	Currency translation	Total
At January 1	($ 28,200)	($ 334,636)	($ 362,836)
Revaluation	7,906	-	7,906
Disposal of financial assets at fair value through other comprehensive income − equity instruments	20,294	-	20,294
Currency translation differences:			
–Group	-	(35,280)	(35,280)
At December 31	$ -	($ 369,916)	($ 369,916)

(21) Operating revenue

	2024	2023
Revenue from contracts with customers	$ 3,228,543	$ 3,252,303

A. Disaggregation of revenue from contracts with customers

The Group derives revenue from the transfer of goods at a point in time in the following geographical regions:

Year ended December 31, 2024	Domestic	Asia	Total
Total segment revenue	$ 1,106,769	$ 2,174,946	$ 3,281,715
Inter-segment revenue	(5,603)	(47,569)	(53,172)
Revenue from external customer contracts	$ 1,101,166	$ 2,127,377	$ 3,228,543

Year ended December 31, 2023	Domestic	Asia	Total
Total segment revenue	$ 1,161,752	$ 2,129,562	$ 3,291,314
Inter-segment revenue	(12,353)	(26,658)	(39,011)
Revenue from external customer contracts	$ 1,149,399	$ 2,102,904	$ 3,252,303

B. Contract liabilities

(a) The Group has recognized the following revenue-related contract liabilities:

	December 31, 2024	December 31, 2023	January 1, 2023
Contract liabilities	$ 1,900	$ 4,082	$ 3,187

(b) Revenue recognized that was included in the contract liability balance at the beginning of the year is summarized below:

	Year ended December 31,	
	2024	2023
Revenue recognized	$ 442	$ 187

(22) Interest income

	Year ended December 31,	
	2024	2023
Interest income from bank deposits	$ 17,349	$ 27,681
Interest income from financial assets at amortized cost	6,300	1,912
Other interest income	63	55
	$ 23,712	$ 29,648

(23) Other income

	Year ended December 31,	
	2024	2023
Subsidy income	$ 8,119	$ 5,077
Solar revenue	2,002	2,100
Mold revenue	1,090	1,200
Other income	7,013	6,111
	$ 18,224	$ 14,488

(24) Other gains and losses

	Year ended December 31,	
	2024	2023
Gain on disposal of associates accounted for under equity method	$ -	$ 3,542
Gain on disposal of property, plant and equipment	2,890	8,674
Gain on lease modification	134	268
Impairment loss recognized in profit or loss, property, plant and equipment	(7,328)	-
Foreign exchange gains (loss)	35,110	(2,805)
Loss on financial assets and liabilities at fair value through profit or loss	(36,144)	(16,650)
Impairment loss recognized in profit or loss, intangible assets other than goodwill.	(14,916)	-
Miscellaneous disbursements	(13,778)	(586)
	($ 34,032)	($ 7,557)

(25) Finance costs

	Years ended December 31,	
	2024	2023
Interest expense from bank borrowings	$ 5,415	$ 8,837
Interest expense from lease liabilities	1,486	1,253
	$ 6,901	$ 10,090

(26) Expenses by nature

	Years ended December 31,	
	2024	2023
Employee benefit expense		
Wages and salaries	$ 683,875	$ 628,393
Labour and health insurance fees	55,247	47,346
Pension costs	35,442	31,401
Other personnel expenses	41,127	39,818
Depreciation charges on property, plant and equipment	145,100	140,868
Depreciation charges on right-of-use assets	29,719	30,838
Amortization charges on intangible assets	2,406	1,802
Amortization charges on molds	12,792	10,247
	$ 1,005,708	$ 930,713

(27) Employee benefit expense

A. In accordance with the Articles of Incorporation of the Company, a ratio of profit before tax, before the distribution of employees' compensation and directors' remuneration, of the current year, after covering accumulated losses, shall be distributed as employees 'compensation and directors' remuneration. The ratio shall not be lower than 8% for employees' compensation and shall not be higher than 3% for directors' remuneration. Employees' compensation may be paid in the form of shares or in cash, and employees from affiliated companies who meet certain conditions are entitled to the distribution.

B. (a) For the year ended December 31, 2024, the Company had a net loss before income tax, therefore, the Company did not accrue employees' compensation and directors' remuneration at the end of reporting period.

(b)For the year ended December 31, 2023, employees' compensation was accrued at $5,020; directors' remuneration was accrued at $1,506. The aforementioned amounts were recognized in salary expenses.

(c) Employees' compensation and directors' remuneration for 2023 as resolved by the Board of Directors were in agreement with the amounts recognized in the 2023 financial statements.

(d) Information about employees' compensation and directors' remuneration of the Company as resolved at the meeting of Board of Directors and Shareholders will be posted in the "Market Observation Post System" at the website of the Taiwan Stock Exchange.

(28) Income tax

A. Components of income tax expense

	Years ended December 31, 2024	Years ended December 31, 2023
Current tax:		
Current tax for the period	$ 65,755	$ 119,889
Prior year income tax underestimation	8,727	7,498
Total current tax	74,482	127,387
Deferred tax:		
Origination and reversal of temporary differences	(31,606)	(79,247)
Income tax expense	$ 42,876	$ 48,140

B. Reconciliation between income tax expense and accounting profit

	Years ended December 31, 2024	Years ended December 31, 2023
Tax calculated based on profit before tax and statutory tax rate (Note)	$ 18,423	$ 90,883
Expenses disallowed by tax regulation	7,071	557
Tax exempt income by tax regulation	(4,298)	(32,230)
Taxable loss not recognized as deferred tax assets	22,416	-
Change in assessment of realization of deferred tax assets	(31,606)	(89,040)
Prior year income tax underestimation	8,727	5,955
Subsidiaries' repatriation of earnings withholding tax	26,093	74,330
Withholding tax on overseas royalties	3,216	3,557
Other	(7,166)	(5,872)
Income tax expense	$ 42,876	$ 48,140

Note: The basis for computing the applicable tax rate are the rates applicable in the respective countries where the Group entities operate.

C. Amounts of deferred tax assets or liabilities as a result of temporary differences are as follows:

	2024		
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
－Temporary differences:			
Unrealized mold loss	$ 14,272	($ 239)	$ 14,033
Unrealized loss on inventories	9,529	213	9,742
Property, plant and equipment tax difference	10,202	(1,339)	8,863
Unrealized impairment loss of investments accounted for under equity method	-	2,983	2,983
Others	8,632	403	9,035
	42,635	2,021	44,656
Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(200,397)	28,308	(172,089)
Unrealized exchange gain	(5,502)	5,238	(264)
Others	-	(3,961)	(3,961)
	(205,899)	29,585	(176,314)
	($ 163,264)	$ 31,606	($ 131,658)

	2023		
	January 1	Recognized in profit or loss	December 31
Deferred tax assets:			
－Temporary differences:			
Unrealized mold loss	$ 17,578	($ 3,306)	$ 14,272
Unrealized loss on inventories	12,201	(2,672)	9,529
Property, plant and equipment tax difference	12,633	(2,431)	10,202
Others	8,681	(49)	8,632
	51,093	(8,458)	42,635
Deferred tax liabilities:			
Gain on foreign investment accounted for under the equity method	(293,576)	93,179	(200,397)
Unrealized exchange gain	(28)	(5,474)	(5,502)
	(293,604)	87,705	(205,899)
	($ 242,511)	$ 79,247	($ 163,264)

D. Expiration dates of unused tax losses and amounts of unrecognized deferred tax assets are as follows:

December 31, 2024				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognized deferred tax assets	Expiry year
2018	$ 3,523	$ 3,523	$ 3,523	2028
2019	134,204	93,109	93,109	2029
2020	5,716	5,716	5,716	2030
2021	4,876	4,876	4,876	2031
2022	6,904	6,904	6,904	2032
2023	7,511	7,511	7,511	2033
2024	6,366	6,366	6,366	2034

December 31, 2023				
Year incurred	Amount filed/ assessed	Unused amount	Unrecognized deferred tax assets	Expiry year
2018	$ 3,523	$ 3,523	$ 3,523	2028
2019	134,204	106,233	106,233	2029
2020	5,716	5,716	5,716	2030
2021	4,876	4,876	4,876	2031
2022	6,904	6,904	6,904	2032
2023	7,511	7,511	7,511	2033

E. The amounts of deductible temporary differences that were not recognized as deferred tax assets are as follows:

	December 31, 2024	December 31, 2023
Dedutible temporary difference	$ -	$ 527

F. The Company and its domestic subsidiaries' income tax returns through 2022 have been assessed and approved by the Tax Authority.

(29) (Loss) earnings per share

	Year ended December 31, 2024		
	Loss for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
Basic and diluted loss per share			
Loss attributable to the parent	($ 101,021)	88,307	($ 1.14)

	Year ended December 31, 2023		
	Profit for the period	Weighted average number of ordinary shares outstanding (shares in thousands)	Profit per share (in dollars)
Basic earnings per share			
Profit attributable to the parent	$ 78,621	89,263	$ 0.88
Diluted earnings per share			
Profit attributable to the parent	$ 78,621	89,263	
Assumed conversion of all dilutive potential ordinary shares			
-Employees' compensation	-	210	
	$ 78,621	89,473	$ 0.88

(30) Business Combination

A. During the period from February to March of the fiscal year 2023, the company purchased a portion of shares in eBio International Co., Ltd. for a cash amount of $59,414, thereby participating in its cash increase plan. As a result, the company's ownership stake in eBio International Co., Ltd. increased from 9.81% to 52.02%, granting control over the company. The eBio International Group operates medical businesses in Taiwan, including a pressure ulcer prevention system. The company expects that this acquisition will enhance its position in these markets and lead to cost reduction through economies of scale.

B. The information regarding the consideration paid for the acquisition of eBio International Group, the assets acquired, and the liabilities assumed at the fair value as of the acquisition date, as well as the information on non-controlling interests' share in the identifiable net assets as of the acquisition date, is as follows:

	March 20, 2023
The consideration received	
Cash	$ 25,850
The fair value of the equity previously held in eBio International on the acquisition date	43,791
The non-controlling interest's proportion of the identifiable net assets of the acquiree	22,500
	92,141

	March 20, 2023
The fair value of identifiable assets acquired and liabilities assumed	
Cash and cash equivalents	27,643
Notes and accounts receivable, net	67
Inventories	2,669
Prepayments	3,475
Residual tax credit	1,690
Prepaid expenses and temporary payments	692
Other receivables	27
Property, plant and equipment	5,273
Right-of-use assets	6,484
Intangible assets	24,000
Guarantee deposits paid	309
Deferred income tax assets	86
Long-term borrowings(including current portion)	(12,558)
Accounts payable	(12)
Accrued payroll	(739)
Other accrued expenses payable	(865)
Other current liabilities	(66)
Lease liabilities	(6,484)
Deferred income tax liabilities	(4,797)
Identifiable net assets	46,894
Goodwill	$ 45,247

C. On August 4, 2023, the Company obtained a valuation report and retrospectively adjusted the fair values of identifiable assets and liabilities acquired on the acquisition date. According to the valuation report, adjustments were made to the fair values as follows: the fair value of inventories was adjusted from $3,023 to $2,669, the fair value of property, plant, and equipment was adjusted from $5,260 to $5,273, the fair value of intangible assets was adjusted from $105 to $24,000, the fair value of deferred tax assets was adjusted from $0 to $86, and the fair value of deferred tax liabilities was adjusted from $0 to ($4,797). Other than these adjustments, there were no differences. Goodwill was adjusted from $55,049 to $45,247.

D. The Company held a 9.81% equity interest in eBio International Co., Ltd. prior to the business combination, which was remeasured at fair value resulting in a realized gain of $3,542, please refer to Note 6 (8) for details.

E. Since the merger with eBio International Co., Ltd. on March 20, 2023, and eBio International Co., Ltd. contributed operating revenue of $2,360 and a pre-tax net loss of ($22,185). However, if we assume that eBio International had been included in the consolidation since January 1, 2023, the Group's operating revenue and pre-tax net income would have amounted to $3,252,406 and

$94,721, respectively.

(31) Supplemental cash flow information

Investing activities with partial cash payments:

	Years ended December 31, 2024	Years ended December 31, 2023
Purchase of property, plant and equipment	$ 246,823	$ 164,824
Add: Opening balance of payable on equipment	11,381	8,308
Opening balance of payable on construction	627	-
Less: Ending balance of payable on equipment	(17,593)	(11,381)
Ending balance of payable on construction	(696)	(627)
Cash paid during the year	$ 240,542	$ 161,124

(32) Changes in liabilities from financing activities

2024	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	$ 45,000	$ 257,633	$ 54,997	$ 1,192	$ 358,822
Changes in cash flow from financing activities	-	(57,633)	(27,148)	161	(84,620)
Changes in other non-cash items	-	-	16,464	-	16,464
Impact of changes in foreign exchange rate	-	-	(3,155)	22	(3,133)
At December 31	$ 45,000	$ 200,000	$ 41,158	$ 1,192	$287,533

2023	Short-term borrowings	Long-term borrowings	Lease liabilities	Guarantee deposit received	Total
At January 1	$ 55,000	$ 469,000	$ 10,088	$ 905	$ 534,993
Changes in cash flow from financing activities	(10,000)	(223,925)	(35,234)	295	(268,864)
Changes in other non-cash items	-	-	73,959	-	73,959
Acquisition of business combination	-	12,558	6,484	-	19,042
Impact of changes in foreign exchange rate	-	-	(300)	(8)	(308)
At December 31	$ 45,000	$ 257,633	$ 54,997	$ 1,192	$ 358,822

7. Related Party Transactions

(1) Names of related parties and relationship

Names of related parties	Relationship with the Group
eBio Technology Inc. (Note)	Other related party
Shin Zu Shing Co., Ltd.	Other related party

Note：The consolidated entity included in the Group since March 20, 2023.

(2) Significant related party transactions

A. Operating revenue:

	Year ended December 31,	
	2024	2023
Sales of goods:		
Other related parties	$ 7,734	$ 2,791

There is no significant difference between the sales price and credit terms from non-related parties.

B. Property transactions – Acquisition of financial assets

During March 2023, the Company participated in the cash increase of eBio International Co., Ltd. Please refer to Note 6(30) in the 2023 consolidated financial statements for further details.

C. Lease transactions-lessee

(a) The Company leases a property from Shin Zu Shing Co., Ltd., with a lease term from January 1, 2023, to December 31, 2023. The monthly rental, management fees, and other expenses advanced by related parties are paid on a monthly basis. The lease agreement includes a priority right of renewal. Based on our medium-term operational planning period of 3 years, the right-of-use asset acquired amounts to $44,436. The amount does not exceed the price assessed according to the "Regulations Governing the Acquisition and Disposal of Assets by Public Companies", which is $46,657.

(b) On December 22, 2023, by resolution of the Board of Directors, the Company has decided to re-sign the building lease agreement with Shin Zu Shing Co., Ltd. The lease period is from January 1, 2024 to December 31, 2026, and the Company will have the preferential lease right upon expiration. The right-of-use assets increased by $14,356. Increased to book value $43,980. The amount does not exceed the price assessed according to the "Regulations Governing the Acquisition and Disposal of Assets by Public Companies", which is $46,401.

(c) Right-of-use assets

i. Carrying amount

	December 31, 2024	December 31, 2023
Shin Zu Shing Co., Ltd.	$ 29,320	$ 29,624

ii. Depreciation charge

	Year ended December 31, 2024	Year ended December 31, 2023
Shin Zu Shing Co., Ltd.	$ 14,232	$ 14,812

(d) Lease liabilities

i. Carrying amount

	December 31, 2024	December 31, 2023
Shin Zu Shing Co., Ltd.	$ 29,725	$ 29,836

ii. Interest expense

	Year ended December 31, 2024	Year ended December 31, 2023
Shin Zu Shing Co., Ltd.	$ 676	$ 544

(e) Rent expense, administrative expenses and disbursement fee

	Year ended December 31, 2024	Year ended December 31, 2023
Shin Zu Shing Co., Ltd.	$ 3,115	$ 2,903

D. Receivable from related parties

	December 31, 2024	December 31, 2023
Accounts receivable: Other related parties	$ 2,549	$ 1,654

E. Payables to related parties

	December 31, 2024	December 31, 2023
Accounts Payable:		
Other related parties	$ -	$ 1,061
Other payables:		
Other related parties	$ 217	$ 219

(3) Key management compensation

	Year ended December 31,	
	2024	2023
Short-term employee benefits	$ 19,900	$ 22,515
Post-employment benefits	570	600
	$ 20,470	$ 23,115

8. Pledged Assets

The Group's assets pledged as collateral are as follows:

	Book value		
Pledged asset	December 31, 2024	December 31, 2023	Purpose
Financial assets at amortized cost – current	$ 547	$ 694	Customs guarantee
Financial assets at amortized cost – non-current	-	399	Contract bond
Property, plant, and equipment			
Land	273,059	273,059	Bank secured borrowings
Buildings and structures	136,646	145,920	Bank secured borrowings
Other non-current assets			
Guarantee deposits paid	9,720	8,642	Rental deposit

9. Significant Contingent Liabilities and Unrecognized Contract Commitments

Commitments

As of December 31, 2024, the Group had opened unused letters of credit for importing inventories and equipment of $1,784.

10. Significant Disaster Loss

None.

11. Significant Events after the Balance Sheet Date

Please refer to Note 6. (10) H. for further details.

12. Others

(1) Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. The capital structure of the Group consists of net debt (borrowings offset by cash and cash equivalents) and equity attributable to owners of the Group (comprising issued capital, reserves, retained earnings and other equity). The Group is not subject to any externally imposed capital requirements.

(2) Financial instruments

A. Financial instruments by category

	December 31, 2024	December 31, 2023
Financial assets		
Financial assets mandatorily measured at fair value through profit or loss (current and non-current)	$ 30,477	$ 32,973
Financial assets at fair value through other comprehensive income	8,778	3,070
Financial assets at amortized cost		
Cash and cash equivalents	1,120,889	1,223,585
Financial assets at amortized cost (current and non-current)	547	187,644
Notes receivable, net	22,726	31,977
Accounts receivable, net	1,124,521	1,131,766
Accounts receivable-related parties	2,549	1,654
Other receivables	128,642	88,667
Finance lease receivable (current and non-current)	1,769	3,296
Guarantee deposits paid	9,720	8,642
	$ 2,450,618	$ 2,713,274

	December 31, 2024	December 31, 2023
Financial liabilities		
Financial liabilities mandatorily measured at fair value through profit or loss	$ 5,710	$ -
Financial liabilities at amortized cost		
Short-term borrowings	45,000	45,000
Accounts payable	604,299	485,963
Accounts payable-related parties	-	1,061
Other payables	341,188	304,614
Other payables-related parties	217	219
Long-term borrowings (including current portion)	200,000	257,633
Guarantee deposits received	1,375	1,192
	$ 1,197,789	$ 1,095,682
Lease liabilities (current and non-current)	$ 41,158	$ 54,997

B. Financial risk management policies

(a) The Group's major financial instruments included equity investments, accounts receivable, accounts payable, and bank borrowings. The Group's Corporate Treasury function provides services to the business, coordinates access to domestic and international financial markets, monitors and manages the financial risks relating to the operations of the Group through internal risk reports which analyze exposures by degree and magnitude of risks. These risks include market risk (including currency risk and interest rate risk), credit risk and liquidity risk.

(b) The Group sought to minimize the effects of these risks by using derivative financial instruments to hedge risk exposures. The use of financial derivatives was governed by the Group's policies approved by the board of directors, which provided written principles on foreign exchange risk, interest rate risk, credit risk, the use of financial derivatives and non-derivative financial instruments, and the investment of excess liquidity. Compliance with policies and exposure limits was reviewed by the internal auditors on a continuous basis. The Group did not enter into or trade financial instruments, including derivative financial instruments, for speculative purposes.

C. Significant financial risks and degrees of financial risks

(a) Market risk

Foreign exchange risk

i. The Group engages in sales and purchases denominated in foreign currencies and are exposed to exchange rate fluctuations. The Group manages exchange rate risks within the scope permitted by the policy, using forward foreign exchange contracts to manage risks.

ii. The Group's businesses involve some non-functional currency operations (the Company's and domestic subsidiaries' functional currency: NTD; other certain subsidiaries' functional currency: RMB, USD, and VND). The information on assets and liabilities denominated in foreign currencies whose values would be materially affected by the exchange rate fluctuations is as follows:

	December 31, 2024			
	Foreign currency amount (In thousands)	Exchange rate		Book value (NTD)
(Foreign currency: functional currency)				
Financial assets				
Monetary items				
USD:NTD	$ 6,852	32.7850	$	224,643
USD:RMB	13,428	7.1880		440,237
USD:VND	3,733	24,335		122,386
Financial liabilities				
Monetary items				
USD:NTD	$ 489	32.7850	$	16,032
USD:RMB	2,242	7.1880		73,504
USD:VND	906	24,335		29,703

	December 31, 2023			
	Foreign currency amount (In thousands)	Exchange rate		Book value (NTD)
(Foreign currency: functional currency)				
Financial assets				
Monetary items				
USD:NTD	$ 13,201	30.7050	$	405,337
USD:RMB	14,057	7.0827		431,620
USD:VND	4,274	23,866		131,233
Financial liabilities				
Monetary items				
USD:NTD	$ 622	30.7050	$	19,099
USD:RMB	2,257	7.0827		69,301
USD:VND	129	23,866		3,961

iii. Total exchange gains (losses), including realized and unrealized, arising from significant foreign exchange variation on the monetary items held by the Group for the years ended December 31, 2024 and 2023, amounted to $35,110 and ($2,805), respectively.

iv. Analysis of foreign currency market risk arising from significant foreign exchange variation:

	Year ended December 31, 2024				
	Sensitivity analysis				
	Degree of variation		Effect on profit or loss		Effect on other comprehensive income
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	1%	$	2,246	$	-
USD:RMB	1%		4,402		-
USD:VND	1%		1,224		-
Financial liabilities					
Monetary items					
USD:NTD	1%	$	160	$	-
USD:RMB	1%		735		-
USD:VND	1%		297		-

	Year ended December 31, 2023				
	Sensitivity analysis				
	Degree of variation		Effect on profit or loss		Effect on other comprehensive income
(Foreign currency: functional currency)					
Financial assets					
Monetary items					
USD:NTD	1%	$	4,053	$	-
USD:RMB	1%		4,316		-
USD:VND	1%		1,312		-
Financial liabilities					
Monetary items					
USD:NTD	1%	$	191	$	-
USD:RMB	1%		693		-
USD:VND	1%		40		-

Cash flow and fair value interest rate risk

i. The Group’s main interest rate risk arises from long-term borrowings with variable rates, which expose the Group to cash flow interest rate risk. During 2024 and 2023, the Group’s borrowings at variable rate were mainly denominated in New Taiwan dollars.

ii. If the borrowing interest rate of New Taiwan dollars had increased/decreased by 4 basis points with all other variables held constant, profit, net of tax for the years ended December

31, 2024 and 2023 would have increased/decreased by $1,600 and $2,061, respectively. The main factor is that changes in interest expense result from floating rate borrowings.

(b) Credit risk

i. Credit risk refers to the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Group. As at the end of the reporting period, the Group's maximum exposure to credit risk which will cause a financial loss to the Group due to default by the counterparties and financial guarantees provided by the Group arises from:

(i) The carrying amount of the respective recognized financial assets as stated in the balance sheets;

(ii) The amount of contingent liabilities in relation to financial guarantee issued by the Group.

ii. In order to mitigate the credit risk, the Group will conduct credit rating for the transaction object and obtain sufficient security if necessary to mitigate the risk of financial loss due to default. If such information is not available, the Group will use other publicly available financial information and mutual transaction records to rate key customers. The Group will continue to monitor the credit risk and the credit rating of the counterparty through the determination of the credit line and the approval of the credit line. In addition, the Group reviews the recoverable amounts of receivables individually at the balance sheet date to ensure that appropriate impairment losses have been provided for unrecoverable receivables. Accordingly, the Group's management believes that the Group's credit risk has been significantly reduced.

iii. The Group adopts the following assumption under IFRS 9 to assess whether there has been a significant increase in credit risk on that instrument since initial recognition: If the contract payments were past due over 90 days based on the terms, there has been a significant increase in credit risk on that instrument since initial recognition.

iv. In line with credit risk management procedure, when there is evidence that the counterparty faces serious financial difficulties and the Group cannot reasonably expect to recover the amount, for example, the counterparty is in liquidation, the Group considers that the counterparty has signs of default.

v. The Group wrote-off the financial assets, which cannot be reasonably expected to be recovered, after initiating recourse procedures. However, the Group will continue executing the recourse procedures to secure their rights.

vi. The Group applies the modified approach using a provision matrix to estimate expected credit loss under the provision matrix basis. Based on the Group's historical experience, there is no significant difference in the loss patterns among different customer groups. The provision matrix does not further differentiate customer groups, and only sets the expected credit loss rate based on the number of days overdue for receivable, except for individual cases that need to be evaluated separately.

vii. The Group used the forecastability to adjust historical and timely information to assess the default possibility of accounts receivable. On December 31, 2024 and 2023, the provision matrix is as follows:

December 31, 2024	Expected loss rate	Total book value	Loss allowance
Not past due	0%	$ 1,112,733	$ -
Up to 90 days	0%	11,788	-
Over 91 days	100%	2,206	2,206
		$ 1,126,727	$ 2,206

December 31, 2023	Expected loss rate	Total book value	Loss allowance
Not past due	0%	$ 1,087,415	$ -
Up to 90 days	0%	44,351	-
Over 91 days	100%	578	578
		$ 1,132,344	$ 578

viii. Movements in relation to the Group applying the modified approach to provide loss allowance for accounts receivable are as follows:

	2024		
	Accounts receivable	Mold receivable	Total
At January 1	$ 578	$ 5,996	$ 6,574
Provision for (reversal of) impairment loss	1,646	(6,249)	(4,603)
Write-offs	(27)	-	(27)
Effect of foreign rate exchange	9	253	262
At December 31	$ 2,206	$ -	$ 2,206

	2023		
	Accounts receivable	Mold receivable	Total
At January 1	$ 1,573	$ -	$ 1,573
(Reversal of) provision for impairment loss	(1,000)	6,130	5,130
Effect of foreign rate exchange	5	(134)	(129)
At December 31	$ 578	$ 5,996	$ 6,574

(c) Liquidity risk

i. Cash flow forecasting is performed in the operating entities of the Group and aggregated by the Group’s Corporate Treasury function. The Group’s Corporate Treasury function monitors rolling forecasts of the Group’s liquidity requirements to ensure it has sufficient cash to meet operational needs while maintaining sufficient headroom on its undrawn committed borrowing facilities at all times so that the Group does not breach borrowing limits or covenants on any of its borrowing facilities. Such forecasting takes into consideration the Group’s debt financing plans, covenant compliance, compliance with internal balance sheet ratio targets and external regulatory or legal requirements.

ii. The Group has the following undrawn borrowing facilities:

	December 31, 2024	December 31, 2023
Floating rate:		
Expiring within one year	$ 1,990,909	$ 2,196,819
Expiring beyond one year	-	-

iii. The table below analyses the Group's non-derivative financial liabilities into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table are the contractual undiscounted cash flows.

December 31, 2024	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 45,036	$ -	$ -	$ -
Accounts payable	604,299	-	-	-
Other payables	341,188	-	-	-
Other payables-related parties	217	-	-	-
Lease liabilities	25,295	16,524	214	-
Long-term borrowings (including current portion)	53,940	53,940	107,858	-
Guarantee deposits received	1,375	-	-	-
Derivative financial liabilities				
Forward foreign exchange contracts	$ 5,710	-	-	-

December 31, 2023	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
Non-derivative financial liabilities				
Short-term borrowings	$ 45,068	$ -	$ -	$ -
Accounts payable	485,963	-	-	-
Accounts payable-related parties	1,061	-	-	-
Other payables	304,614	-	-	-
Other payables-related parties	219	-	-	-
Lease liabilities	26,816	26,675	3,117	-
Long-term borrowings (including current portion)	54,676	54,625	163,862	-
Guarantee deposits received	1,192	-	-	-

(3) Fair value information

A. The different levels that the inputs to valuation techniques are used to measure fair value of financial and non-financial instruments have been defined as follows:

Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date. A market is regarded as active where a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. The Group has no related investment.

Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly. The fair value of the Group's investment in derivative instruments is included in Level 2.

Level 3: Unobservable inputs for the asset or liability. The fair value of the Group's investment in equity investment without active market is included in Level 3.

B. Except for those listed in the table below, the carrying amounts of cash and cash equivalents, notes receivable, net, accounts receivable, net (including related parties), finance lease receivable, net, other receivables, guarantee deposits paid, short-term borrowings, notes payable (including related parties), accounts payable (including related parties), other payables (including related parties), lease liabilities, long-term borrowings (including current portion), and guarantee deposits received are approximate to their fair values.

C. The related information on financial instruments measured at fair value by level on the basis of the nature, characteristics and risks of the assets and liabilities is as follows:

(a) The related information on the nature of the assets and liabilities is as follows:

December 31, 2024	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Private equity fund	$ -	$ -	$ 30,477	$ 30,477
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	8,778	8,778
	$ -	$ -	$ 39,255	$ 39,255
Liabilities				
Recurring fair value measurements				
Financial liabilities at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 5,710	$ -	$ 5,710

December 31, 2023	Level 1	Level 2	Level 3	Total
Assets				
Recurring fair value measurements				
Financial assets at fair value through profit or loss				
Forward foreign exchange contracts	$ -	$ 7,870	$ -	$ 7,870
Private equity fund	-	-	25,103	25,103
Financial assets at fair value through other comprehensive income				
Equity instruments	-	-	3,070	3,070
	$ -	$ 7,870	$ 28,173	$ 36,043

(b) The methods and assumptions the Group used to measure fair value are as follows:

i. Except for financial instruments with active markets, the fair value of other financial instruments is measured by using valuation techniques or by reference to counterparty quotes. The fair value of financial instruments measured by using valuation techniques can be referred to current fair value of instruments with similar terms and characteristics in substance, discounted cash flow method or other valuation methods, including calculated by applying model using market information available at the consolidated balance sheet date.

ii. When assessing non-standard and low-complexity financial instruments, for example, interest rate swap contracts and foreign exchange swap contracts, the Group adopts valuation technique that is widely used by market participants. The inputs used in the valuation method to measure these financial instruments are normally observable in the market.

iii. The valuation of derivative financial instruments is based on valuation model widely accepted by market participants, such as present value techniques and option pricing models. Forward exchange contracts are usually valued based on the current forward exchange rate.

iv. The output of valuation model is an estimated value and the valuation technique may not be able to capture all relevant factors of the Group’s financial and non-financial instruments. Therefore, the estimated value derived using valuation model is adjusted accordingly with additional inputs, for example, model risk or liquidity risk and etc. In accordance with the Group’s management policies and relevant control procedures relating to the valuation models used for fair value measurement, management believes adjustment to valuation is necessary in order to reasonably represent the fair value of financial and non-financial instruments at the consolidated balance sheet. The inputs and pricing information used during valuation are carefully assessed and adjusted based on current market conditions.

D. For the years ended December 31, 2024 and 2023, there was no transfer between Level 1 and

Level 2.

E. The following chart is the movement of Level 3 for the years ended December 31, 2024 and 2023:

	Equity instrument	
	2024	2023
At January 1	$ 28,173	$ 15,531
Recognized in other comprehensive income	-	7,906
Recognized in profit or loss	(3,626)	3,643
Acquired during the period	14,500	9,000
Disposal during the period	-	(7,906)
Effect of exchange rate changes	208	(1)
At December 31	$ 39,255	$ 28,173

F. The transfer-out amount from Level 3 was $0 for the years ended December 31, 2024, and 2023, respectively.

G. Investing segment is in charge of valuation procedures for fair value measurements being categorised within Level 3, which is to verify independent fair value of financial instruments. Such assessment is to ensure the valuation results are reasonable by applying independent information to make results close to current market conditions, confirming the resource of information is independent, reliable and in line with other resources and represented as the exercisable price, and frequently calibrating valuation model, performing back-testing, updating inputs used to the valuation model and making any other necessary adjustments to the fair value. Investment segment set up valuation policies, valuation processes and rules for measuring fair value of financial instruments and ensure compliance with the related requirements in IFRS.

H. The following is the qualitative information of significant unobservable inputs and sensitivity analysis of changes in significant unobservable inputs to valuation model used in Level 3 fair value measurement:

	December 31, 2024	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 8,778	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	30,477	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

	December 31, 2023	Valuation technique	Significant unobservable input	Range (weighted average)	Relationship of inputs to fair value
Non-derivative equity instrument:					
Unlisted shares	$ 3,070	Market comparable companies	Price to earnings ratio multiple, discount for lack of marketability	Not applicable	The higher the multiple, the higher the fair value; the higher the discount for lack of marketability, the lower the fair value.
Private equity fund	25,103	Net asset value	Not applicable	Not applicable	The higher the net asset value, the higher the fair value.

13. Supplementary Disclosures

(1) Significant transactions information

A. Loans to others: Refer to table 1.

B. Provision of endorsements and guarantees to others: Refer to table 2.

C. Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures): Refer to table 3.

D. Acquisition or sale of the same security with the accumulated cost exceeding $300 million or 20% of the Company's paid-in capital: None.

E. Acquisition of real estate reaching $300 million or 20% of paid-in capital or more: None.

F. Disposal of real estate reaching $300 million or 20% of paid-in capital or more: None.

G. Purchases or sales of goods from or to related parties reaching $100 million or 20% of paid-in capital or more: None.

H. Receivables from related parties reaching $100 million or 20% of paid-in capital or more: None.

I. Trading in derivative instruments undertaken during the reporting periods: Refer to Notes 6(2), 6(24) and 12(2).

J. Significant inter-company transactions during the reporting period: None.

(2) Information on investees

Names, locations and other information of investee companies (not including investees in Mainland China): Refer to table 4.

(3) Information on investments in Mainland China

A. Basic information: Refer to table 5.

B. Significant transactions, either directly or indirectly through a third area, with investee companies in the Mainland Area: None.

(4) Major shareholders information

Major shareholders information: Refer to table 6.

14. Segment Information

(1) General information

A. Management has determined the reportable operating segments based on the reports reviewed by Board of Directors that are used to make strategic decisions.

B. There is no material change in the basis for formation of entities and division of segments in the Group or in the measurement basis for segment information during this period.

(2) Information about segment profit or loss, assets and liabilities

The segment information provided to the chief operating decision-maker for the reportable segments is as follows:

Year ended December 31, 2024	Domestic	Asia	Total
Revenue from external customers	$ 1,101,166	$ 2,127,377	$ 3,228,543
Inter- segment revenue (Note)	5,603	47,569	53,172
Total segment revenue	$ 1,106,769	$ 2,174,946	$ 3,281,715
Segment (loss) income	($ 212,955)	$ 116,377	($ 96,578)

Year ended December 31, 2023	Domestic	Asia	Total
Revenue from external customers	$ 1,149,399	$ 2,102,904	$ 3,252,303
Inter- segment revenue (Note)	12,353	26,658	39,011
Total segment revenue	$ 1,161,752	$ 2,129,562	$ 3,291,314
Segment (loss) income	($ 173,053)	$ 248,843	$ 75,790

Note: Sales between segments are carried out at arm’s length.

(3) Reconciliation for segment income (loss)

A. The revenue from external customers reported to the chief operating decision-maker is measured in a manner consistent with that in the statement of comprehensive income.

B. A reconciliation of reportable segment income or loss to the income (loss) before tax from continuing operations for the years ended December 31, 2024 and 2023 is provided as follows:

	Year ended December 31,	
	2024	2023
Reportable segments (loss) gain	($ 96,578)	$ 75,790
Total non-operating income and expenses	1,003	24,732
(Loss) income before tax from continuing operations	($ 95,575)	$ 100,522

(4) Information on products and services

A. Revenue from external customers is mainly from manufacturing and selling of optoelectronic components, stamping molds, metal furniture, medical devices.

B. Details of revenue are as follows:

	Year ended December 31,	
	2024	2023
Optoeletronic component	$ 2,184,094	$ 2,182,073
Metal furniture	873,041	938,860
Medical device	171,408	131,370
	$ 3,228,543	$ 3,252,303

(5) Geographical information

Geographical information for the years ended December 31, 2024 and 2023 is as follows:

	Year ended December 31, 2024		Year ended December 31, 2023	
	Revenue	Non-current assets	Revenue	Non-current assets
Domestic	$ 1,101,166	$ 659,465	$ 1,149,399	$ 694,499
Asia	2,127,377	788,617	2,102,904	660,277
	$ 3,228,543	$ 1,448,082	$ 3,252,303	$ 1,354,776

Non-current assets are property, plant and equipment, right-of-use assets, intangible assets and other non-current assets, but exclude financial instruments, investments accounted for under equity method, deferred income tax assets and post-retirement benefit assets.

(6) Major customer information

Major customers representing at least 10% of net revenue is as follows:

	Year ended December 31, 2024		Year ended December 31, 2023	
	Revenue	%	Revenue	%
Z	$ 751,166	23	$ 778,088	24
A	535,032	17	520,842	16
Q	359,809	11	456,865	14
V	275,783	9	364,658	11
	$ 1,921,790	60	$ 2,120,453	65

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Loans to others

Year ended December 31, 2024

Table 1

Expressed in thousands of NTD

(Except as otherwise indicated)

No. (Note 1)	Creditor	Borrower	General ledger account	Is a related party	Maximum Balance for the Period	Ending Balance (Note 2)	Actual amount drawn down	Interest rate	Nature of loan	Amount of transactions with the borrower	Reason for short-term financing	Allowance for doubtful accounts	Collateral Item	Collateral Value	Limit on loans granted to a single party (Note 1)	Ceiling on total loans granted (Note 1)	Footnote
0	The Company	eBio Technology	Other receivables - related parties	Yes	$ 50,000	$ -	$ -	-	2	$ -	-	$ -	-	$ -	$ 526,238	$ 1,052,476	
0	The Company	eBio International	Other receivables - related parties	Yes	40,000	40,000	30,000	2.59%	2	-	-	-	Promissory note	40,000	526,238	1,052,476	

Note 1: According to the parent company's "Management policies on financing provided to Others "

(1) For individual companies, the loan shall not exceed 20% of the net value of the lender's most recent financial statements.

(2) The total amount of loan and loan shall not exceed 40% of the net value of the latest financial statement of the lender.

Note 2: Pursuant to paragraph 2 of article 14 in Regulations Governing Loaning of Funds and Making of Endorsements/Guarantees by Public Companies, loans of funds between the public company and its related parties shall be submitted for a resolution by the board of directors, and the chairman may be authorised, within a certain monetary limit resolved by the board of directors, and within a period not to exceed one year, to give loans in installments or to make a revolving credit line available for the counterparty to draw down. Such loan monetary limit is disclosed herein.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Endorsements/Guarantees provided
Year ended December 31, 2024

Table 2

Expressed in thousands of NTD
(Except as otherwise indicated)

No.	Endorser/Guar	Endorsee/Guarantee Name	Endorsee/Guarantee Relationship	Limit on Endorsement/ Guarantee Given on Behalf of Each Party (Note 2)	Maximum Amount Endorsed/ Guaranteed During the Period	Outstanding Endorsement/ Guarantee at the End of the Period	Actual Amount Borrowed	Amount Endorsed/ Guaranteed by Collateral	Ratio of Accumulated Endorsement/Guarantee to Net Equity in Latest Financial Statements (%)	Aggregate Endorsement/ Guarantee Limit (Note 2)	Endorsement/ Guarantee Given by Parent on Behalf of Subsidiaries	Endorsement/ Guarantee Given by Subsidiaries on Behalf of Parent	Endorsement/ Guarantee Given on Behalf of Companies in Mainland China	Footnote
0	The Company	eBio Technology	Note 1	$ 1,315,596	$ 20,000	$ 20,000	$ -	None	0.76%	$ 2,631,191	Y	N	N	

Note 1: The Company owns directly more than 50% voting shares of the endorsed/ guaranteed subsidiary.
Note 2: The relevant regulations for "endorsements/guarantees limit" of the Company are as follows:
(1)The endorsement and guarantee limit for a single enterprise, except for subsidiaries in which the Company directly or indirectly holds more than 50% of the common stock, shall not exceed 50% of the net worth.
For other cases, it shall not exceed 10% of the net worth.
(2)The total amount of endorsements and guarantees provided by the Company to external parties shall not exceed 100% of the net worth.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Holding of marketable securities at the end of the period (not including subsidiaries, associates and joint ventures)
December 31, 2024

Table 3

Expressed in thousands of NTD / foreign currency / shares
(Except as otherwise indicated)

Securities held by	Marketable securities	Relationship with the securities issuer	General ledger account	As of December 31, 2023				Footnote
				Number of shares	Book value	Ownership	Fair value	
The Company	Private equity fund	-	Financial assets at fair value through profit or loss- non-current	-	$ 30,477	3%	$ 30,477	
The Company	Ordinary shares of Y Company	-	Financial assets at fair value through other comprehensive income- non-current	300	3,000	13.04%	3,000	
The Company	Ordinary shares of B Company	-	Financial assets at fair value through other comprehensive income- non-current	250	2,500	16.67%	2,500	
JOCHU BVI	Preferred shares of W Company	-	Financial assets at fair value through other comprehensive income- non-current	61	3,278	-	3,279	USD 100
JOCHU BVI	Preferred shares of PIH	Subsidiary	Financial assets at fair value through other comprehensive income- non-current	30	984	-	984	USD 30

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investees
Year ended December 31, 2024

Table 4

Expressed in thousands of NTD / shares
(Except as otherwise indicated)

				Initial investment amount		Shares held as at December 31, 2024					
Investor	Investee	Location	Main business activities	Balance as at December 31,2024	Balance as at December 31, 2023	Number of shares	Ownership (%)	Book value	Net profit (loss) of the investee for the years ended December 31, 2024	Investment income (loss) recognised by the Company for the years ended December 31, 2024	Footnote
The Company	JOCHU BVI	British Virgin Islands	Investment holding	$ 1,149,099	$ 1,149,099	36,564	100%	$ 1,828,362	$ 89,467	$ 91,779	
The Company	LEGIUN	Taiwan	Sales of medical devices	80,000	80,000	8,000	100%	31,654	(7,402)	(7,465)	
The Company	eBIO INTERNATIONAL CO., LTD.	Taiwan	Investment holding	71,114	71,114	6,331	52.02%	22,791	(36,180)	(19,818)	
JOCHU BVI	JOCHU GLOBAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	414,275	40,678	40,678	
JOCHU BVI	PIH	Singapore	Investment holding	496,256	496,256	16,348	65%	429,594	(54,715)	(35,565)	
JOCHU GLOBAL	JOCHU INTERNATIONAL	Cayman Islands	Investment holding	328,912	328,912	10,000	100%	414,275	40,678	40,678	
PIH	JOCHU VIETNAM	Vietnam	Production and sales of optoelectronic components, stamping molds, and related international trading business	758,383	758,383	Not applicable	100%	659,195	(54,256)	(54,256)	
eBIO INTERNATIONAL	eBIO TECHNOLOGY	Taiwan	Research and development, manufacturing of medical electronic devices, biomedical sensors, and integrated design services	71,071	71,071	11,971	100%	(671)	(35,886)	(35,886)	

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES
Information on investments in Mainland China
Years ended December 31, 2024

Table 5

Expressed in thousands of NTD / foreign currency
(Except as otherwise indicated)

Investee in Mainland China	Main business activities	Paid-in capital	Investment method (Note 1)	Accumulated amount of remittance from Taiwan to Mainland China as of January 1, 2024	Amount remitted from Taiwan to Mainland China/ Amount remitted back to Taiwan for the year ended December 31, 2024: Remitted to China	Remitted back to Taiwan	Accumulated amount of remittance from Taiwan to Mainland China as of December 31, 2024	Net income of investee for the year ended December 31, 2024	Ownership held by the Company (direct or indirect)	Investment income (loss) recognised by the Company for the year ended Decembe 31, 2024 (Note 2)	Book value of investments in Mainland China as of December 31, 2024	Accumulated amount of investment income remitted back to Taiwan as of December 31, 2024	Footnote
SUZHOU JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	$ 569,170	Note 1(2)1	$ 367,541	$ -	$ -	$ 367,541	$ 84,723	100%	$ 84,723	$ 982,956	$ 1,824,991	Note 2(2)B
XIAMEN JOCHU	Production and sales of optoelectronic components, stamping molds, and related international trading business	451,775	Note 1(2)2	328,912	-	-	328,912	61,013	100%	61,013	621,372	663,837	Note 2(2)B

Company name	Accumulated Outward Remittance for Investments in Mainland China as of December 31, 2024	Investment Amount Authorised by the Investment Commission, MOEA	Upper Limit on the Amount of Investments Stipulated by the Investment Commission, MOEA (Note 3)
The Company	$ 696,453 (USD21,500)	$ 862,275 (USD28,801)	$ 1,713,334

Note 1: Investment methods are classified into the following three categories; fill in the number of category each case belongs to:
(1) Directly invest in a company in Mainland China.
(2) Through investing in an existing company in the third area, which then invested in the investee in Mainland China.
A. Invested through Jochu Investment Ltd.
B. Invested 66.67% by Jochu International (Cayman) Ltd. and 33.33% by Suzhou Zhou Qiao Precision Metal Co., Ltd., totaling 100%.
(3) Others
Note 2: In the 'Investment income (loss) recognised by the Company for the year ended December 31,2024' column:
(1) It should be indicated if the investee was still in the incorporation arrangements and has not yet generated any profit during this period.
(2) Indicate the basis for investment income (loss) recognition in the number of one of the following three categories:
A.The financial statements were audited by international accounting firm which has cooperative relationship with accounting firm in R.O.C.
B.The financial statements were audited by R.O.C. parent company's CPA.
C.Others.
Note 3: According to the new regulations issued by the Investment Review Committee of the Ministry of Economic Affairs in August 2009,
the calculation method of the investment limit for the mainland area is the net value or 60% of the combined net value, whichever is higher.

JOCHU TECHNOLOGY CO., LTD. AND SUBSIDIARIES

Major shareholders information

December 31, 2024

Table 6

Name of major shareholders	Shares		
	Number of shares held (Ordinary share)	Number of shares held (preferred share)	Ownership (%)
Heng Xing Investment Co., Ltd.	9,124,000	-	10.22%

Note 1: The information of major shareholders presented in this table is provided by the Taiwan Depository & Clearing Corporation based on the number of ordinary shares and preferred shares held by shareholders with ownership of 5% or greater, that have been issued without physical registration (included treasury shares) by the Group as of the last business day for the current quarter.
The share capital in the consolidated financial statements may differ from the actual number of shares that have been issued without physical registration because of different preparation basis.

Note 2: If a shareholder delivers their shareholdings to the trust, the above information will be disclosed by the individual trustee who opened the trust account. For shareholders who declare insider shareholdings with ownership greater than 10% in accordance with Securities and Exchange Act, the shareholdings include shares held by shareholders and those delivered to the trust over which shareholders have rights to determine the use of trust property. For information relating to insider shareholding declaration, refer to Market Observation Post System.

Note 3: The principle of preparation of this table is to calculate the distribution of the balance of each credit transaction with reference to the roster of securities owners whose transfer has been suspended by the shareholders' temporary meeting (the securities lending will not be replenished).

Note 4: Shareholding rate (%)＝Number of shares held / Total number of shares that have been issued without physical registration.

Note 5: Total number of shares that have been issued without physical registration (including treasury shares) is 89,263,150 shares = 89,263,150 (Ordinary share)+ 0 (Preferred share).